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PT Telkom Indonesia (Persero) Tbk.

Sector: Infrastructure | Subsector: Telecommunication

BUY

Indonesia Stock Exchange (IDX)

Ticker	:	TLKM
Date	:	2 January 2026
Current Price	:	IDR 3,470
Target Price	:	IDR 4,320
Upside	:	24.5%

Telkom Indonesia

Table 1: TLKM Market Data

TLKM Market Data	
Market Cap (tn)	Rp343.7
Average Volume (mn)	93.13
Shares Outstanding (mn)	99.06
52-Week Range	Rp2,924
Price (As of 2 January 2026)	Rp3,470
Forward Dividend Yield	6.8%
Free Float	47.2%
EV/EBITDA Multiples	5x

Source: Bloomberg Terminal, Yahoo Finance

Figure 1: Historical Price

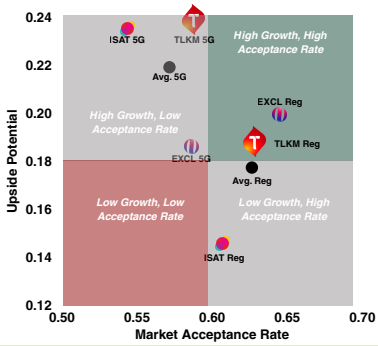
Source: Team Estimates

Table 2: TLKM EV/EBITDA - Attractive Discount

Ticker	EV/EBITDA		
	2025E	2026F	2027F
EXCL IJ Equity	4.88x	4.49x	4.23x
ISAT IJ Equity	4.58x	4.36x	4.2x
CBD MK Equity	9.45x	9.18x	8.89x
GLO PM Equity	6.74x	6.24x	6.28x
AXIATA MK Equity	8.13x	9.51x	9.3x
TEL PM Equity	5.5x	5.13x	5.09x
TRUE TB Equity	7.52x	7.1x	6.93x
BHARTI IN Equity	-	12.55x	10.88x
TLKM IJ Equity	**5x**	**5.8x**	**5.5x**
Peers Average	**6.1x**	**6.7x**	**6.6x**

Source: Bloomberg Terminal

Figure 2: Survey Key Findings (227 Respondents) - Market Appetite for ARPU Expansion



Key Findings:

*Telkomsel regular services show **high acceptance for price increases** and securing a high-growth position. TLKM **5G** leads in upside potential, reflecting strong consumer **willingness to pay for premium services.***

Source: Team Survey

Figure 3: On the Ground Checks

Key Findings:

*Quality, reliability, and affordability define the core of successful FBB services. FWA offers a **compelling alternative** to FBB, contingent on reliable service quality.*

Source: Team Survey

TLKM: The Sovereign Leader of a Rationalized Frontier

We issue a **BUY** recommendation for TLKM based on a potential total shareholder return of 31.3%, of which 24.5% are from capital gain to our target price of Rp 4,320/share and 6.8% from dividend yield in 2026E. Our target price is based on a combination of SOTP DCF-FCFF approach (70%) and EV/EBITDA multiple valuation (30%), and implies an EV/EBITDA 26F of 5.8x, a discount to international peers (6.1x). Our **BUY** recommendation is firmly supported by three main catalysts:

Post-Consolidation Playbook: Mimicking Success in International Market. The Indonesian telecommunications sector has entered a structural growth phase, driving TLKM's revenue and a projected **4.6% ARPU CAGR (25E–30F) vs 0.37% ARPU CAGR (FY20–25E)**. This momentum is fueled by three key catalysts: **1)** a transition toward a rationalized triopoly, where a 2025E Herfindahl-Hirschman Index (HHI) of 3,557 (vs. 3,390 during the 2019 pre-price war) signals significantly easing competition; **2)** a robust mobile performance rebound marked by a 14.8% QoQ rise in 3Q25 data yields to Rp3,100/GB, supports a potential ARPU upside. Based on our proprietary survey of 227 respondents, current ARPU is still ~18% below the customers' willingness to pay **(Figure 2)**; and **3)** the 5G rollout, projected to drive an 18.7% data payload CAGR (27F–30F), where 52% of our survey respondents are willing to pay 22% premium for 5G **(Figure 2)**. Mirroring post-consolidation trends in markets like India, these factors facilitate sustained pricing power, already evident in TLKM's 2.7% QoQ 3Q25 (vs. -2.6% QoQ 2Q25) blended ARPU hike to Rp43.4k through its price repair strategy.

Strategic Spin-offs: Unlocking Value & Earnings. TLKM's core strategy centers on systematic asset monetization, with the Data Center (DC) segment positioned as the next primary catalyst for value unlocking. This transformation is spearheaded by the fiber carve-out, which is poised to sustain **a superior ROIC of 15.3%–17.6% (FY26E–30E)** and trigger a significant valuation re-rating: **1)** unmatched capital efficiency, where TLKM's ROIC structurally exceeds its 11.3% WACC, contrasting sharply with the value-dilutive spreads of ISAT (10.1%) and EXCL (6.7%); **2)** earnings accretion, as the InfraNexia spin-off serves as a high-margin growth engine projected to generate an incremental Rp2.6tn in EBITDA by 30F (representing a 2.6% uplift over organic projections); and **3)** a major valuation catalyst, where InfraNexia's 9.9x EV/EBITDA carve out multiple is expected to drive a consolidated re-rating of Telkom's multiple to 5.8x **(Table 2)**.

Improved Agility and Dividend Yield under Danantara. Under the strategic oversight of Danantara, TLKM is undergoing a fundamental pivot to maximize operational agility and capital discipline. This institutional structural changes is anchored by a significant **governance overhaul**, shifting non-SOE Board of Directors (BOD) representation from a minority of one out of nine (FY20–24) to a decisive majority of six out of nine in FY25, alongside a radical **streamlining** from 60 to 22 to eliminate value dilutive and redundant entities. We expect this restructuring to results in: **1)** enhanced operational leverage, where disciplined OPEX growth (3.39% CAGR 25E–30F) is projected to trail revenue growth (4.23% CAGR 25E–30F), driving a structural EBIT margin expansion from 26.9% to 29.8% by FY30; and **2)** a bolstered capital return profile, with projected dividend yields of 6.8%–9.1% (26F–30F) supported by both organic operations and non-organic contributions (vs. 6.7%–8.3% on a purely organic basis).

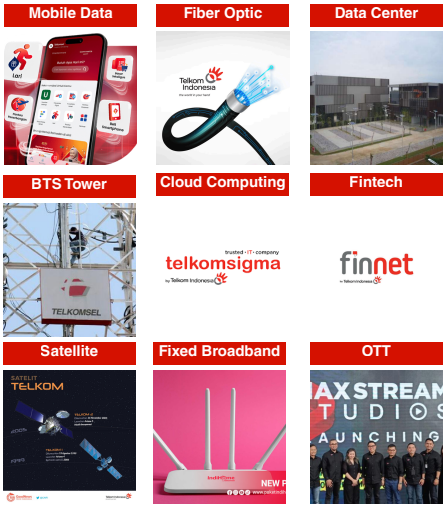
TLKM Discounted Valuation: Asymmetric Risk Reward Opportunity. TLKM trades at a compelling discounted 5x EV/EBITDA relative to the international peers of 6.1x. The valuation gap is expected to narrow via **1)** a value re-rating of the TLKM group to 5.8x, aligning the company's valuation more closely with international peers who are the market leader in their respective countries, **2)** a higher dividend yield (6.8%–9.1% yield) and **3)** Rp3tn share buyback, providing a robust floor price for the stock and signaling management's confidence. We think the combination of TLKM's structural improvement in fundamentals (better industry competition, efficiency & governance), combined with its focus on total shareholder return, makes the company an attractive investment opportunity with potentially asymmetric payoff of high capital gain with limited downside (due to the high dividend yields and buybacks).

Table 3: Financial Highlight

Financial Highlight	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Telkomsel's ARPU	43,601	43,514	45,532	48,228	52,159	55,747	58,679
Indihome's ARPU	203,009	184,738	181,044	177,423	175,649	173,892	170,414
Revenue	**149,967**	**148,419**	**151,787**	**158,556**	**167,727**	**175,858**	**182,544**
Growth		-1.0%	2.3%	4.5%	5.8%	4.8%	3.8%
EBITDA	**75.634**	**75.093**	**79.076**	**83.568**	**88.945**	**95.292**	**101.526**
EBITDA Margin	50.4%	50.6%	52.1%	52.7%	53.0%	54.2%	55.6%
Growth		-0.7%	5.3%	5.7%	6.4%	7.1%	6.5%
Net Income	**30,743**	**27,979**	**29,374**	**31,37**	**33,668**	**36,379**	**39,295**
Net Profit Margin	20.5%	18.9%	19.4%	19.8%	20.1%	20.7%	21.5%
Growth		-9.0%	5.0%	6.8%	7.3%	8.1%	8.0%
EPS	310	282	297	317	340	367	397
Dividend Yield		6.5%	6.8%	7.3%	7.9%	8.5%	9.1%

Source: Financial Report, Team Estimates

Figure 4: TLKM's Diverse Portfolio



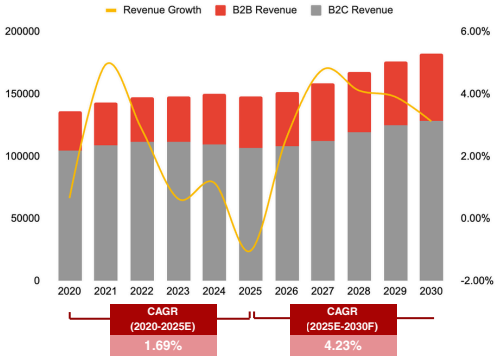
Source: Annual Report

Figure 5: TLKM's Revenue Contributions

100% Revenue				
B2C		B2B		
Mobile 53.9%	Consumer 18.1%	Enterprise 13.6%	WIB 12.9%	Others 2.5%

Source: Financial Report

Figure 6: Driving TLKM's Revenue Rebound



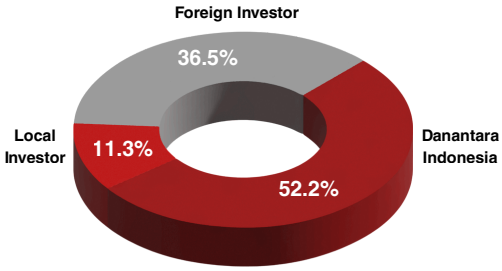
Source: Financial Report, Team Estimates

Figure 7: Cost Structure

100% Revenue					
26.9% Operating Profit			73.1% Operating Expense		
Finance Cost 2.9%	Tax Expense 5%	Net Profit 18.85%	D&A Expense 23.68%	Maintenance and Telecommunication 27.95%	Operational 21.5%

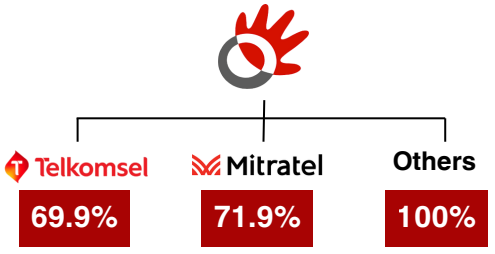
Source: Financial Report, Team Estimates

Figure 8: Danantara Governance Pivot Enhancing TLKM Total Return



Source: Annual Report

Figure 9: TLKM's Subsidiaries



Source: Annual Report

BUSINESS DESCRIPTION

PT Telkom Indonesia Tbk (TLKM) is the market leader and the nation's largest state-owned telecommunications provider, operating as a premier "Network Enabler" through a vertically integrated and InfraCo business model that delivers a full spectrum of digital services, from mobile and fixed broadband to advanced cloud and data solutions. TLKM leverages its extensive network of 177.4k km fiber, 271k BTS, and 35 data centers to transform raw network capabilities into value-added digital experiences. As a digital powerhouse, TLKM drives Indonesia's digital economy through seamless connectivity and integrated platform ecosystems across the archipelago.

Business Model & Segments

PT Telkom Indonesia's revenue structure is segmented into two primary pillars, the B2C and B2B, which collectively drive the group's top-line performance:

B2C. The B2C pillar remains the dominant engine of TLKM's consolidated performance, anchored by two distinct infrastructure assets. The mobile segment, Telkomsel (45.54% market share 24H), contributed 53.9% of 9M25 revenue by leveraging a massive Radio Access Network (RAN) via BTS. This infrastructure utilizes licensed spectrum frequencies to transmit wireless data and voice signals from towers to end users. Complementing this, the Consumer segment via IndiHome (65% market share 24H) contributes to 18.1% of revenue. This segment operated on the Fiber-to-the-Home (FTTH) system. Unlike mobile, this segment relies on physical fiber optic that will extend to households, to deliver high bandwidth fixed broadband and IPTV services **(Figure 5)**.

B2B. Conversely, the B2B pillar has solidified its role as a critical growth engine for the group, contributing a robust 28.1% to the consolidated top line in 9M25. The composition of this segment is anchored by the resilient tower leasing business, primarily operating under its subsidiary Mitratel (6.28% to revenue). Complementing this infrastructure base is the burgeoning data center vertical, which, despite currently accounting for a modest 0.93% of revenue. The substantial remainder of the segment consists of other B2B services at 20.5%, driven by comprehensive Enterprise ICT and digital connectivity contracts, collectively demonstrating TLKM's ability to successfully monetize the digital transformation needs of Indonesia's corporate and government sectors **(Figure 5)**.

Cost Structure. The biggest OPEX contributors are: **1)** Maintenance and Telecommunication, which makes up for 38.5% of total OPEX. This segment is highly sensitive to the scale of infrastructure rollout, making network cost optimization a critical factor for long-term margin stability. **2)** Operational Expense (Personnel, G&A, and Interconnection) that account for 31.0% of total OPEX. On the other hand, **3)** Depreciation and Amortization make up 30.5% of total OPEX, reflecting the capital-intensive nature of the industry and the company's sustained investment in fiberization and 4G/5G network expansion **(Figure 7)**.

Shareholder Structure. TLKM operates as both a public company and a State-Owned Enterprise (SOE). The company's ownership structure is controlled by Danantara Indonesia, which holds a 52.09% majority stake, while the remaining 47.91% is held by the public **(Figure 8)**. This significant government ownership provides TLKM with advantages, such as official support and potential preferential access to national development projects. However, it also implies that the company's decisions can be influenced by state policy.

MACROECONOMY & INDUSTRY OVERVIEW

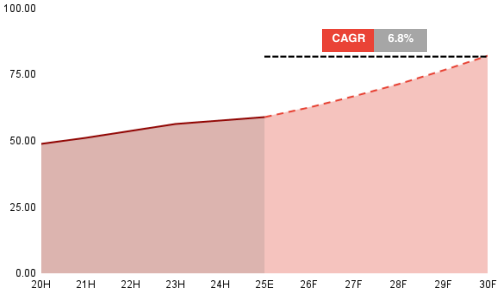
Macroeconomy Overview

Income Driven Headroom for ARPU Expansion. Indonesia's telecom sector is anchored by a 7.74% CAGR in disposable income through 30F, raising the Rp4.8mn per capita base monthly. This trajectory offers significant room for growth in ARPU per disposable income. Currently, Indonesian ARPU is just 0.86% of income, well below Thailand (1.72%) and Malaysia (2.19%) **(Figure 11)**. This wealth growth catalyzes a structural shift toward data consumption, lifting per-capita internet spend from Rp45.2k (FY24) to Rp51.3k (29F). Ultimately, the rising middle-upper class segment possesses strong income development and substantial room for growth in disposable income, allowing operators to capture a larger wallet share that remains far below the affordability ceiling **(Figure 10)**.

Industry Overview

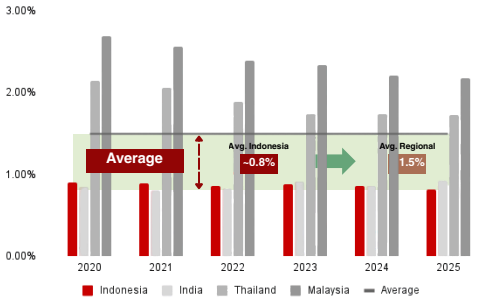
Data Evolution from Discretionary Spend to Essential Utility. Data has transitioned into an essential household staple, underscored by Indonesia's demographic, where

Figure 10: Disposable Income Expansion



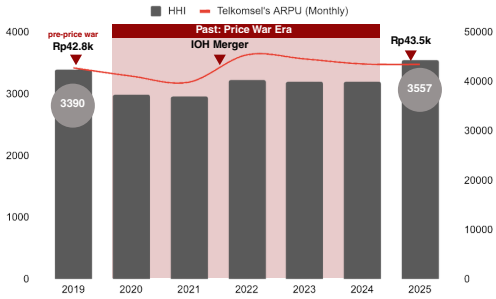
Source: Statista

Figure 11: Significant Room for ARPU Growth



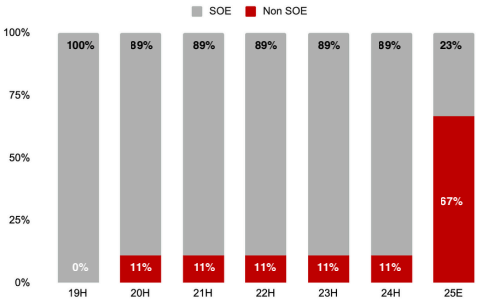
Source: Statista, Team Estimates

Figure 12: Market Consolidation Ends the Era of Price Wars



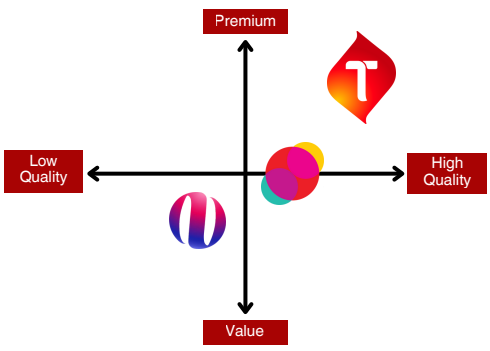
Source: Company Presentation, Team Estimates

Figure 13: Non-SOE Leadership Pivot Unlocking Operational Excellence



Source: Company Data

Figure 14: High-Quality Dominance



Source: Team Estimate

69.64% of the population is under 45 years old as of May 2025. This non-discretionary utility is projected to drive internet users from 212.4 million in 2024 to 257.7 million by 2029. Engagement remains intensive as Indonesians averaged 8.5 hours weekly on social media (2Q25), exceeding the 7.1 hours global average. This is fueled by the shift toward video and online conferencing, data-intensive formats driving global traffic from 10.9 EB in 2017 and 90.4 EB in 2022 to a projected 282.8 EB by 2027. Consequently, Indonesia's monthly consumption will increase from 12.1 GB in 2024 to 22 GB by 2029, making internet access as fundamental as electricity or water (Statista).

Market Rationalization and Triopoly Stability. The Indonesian telecom industry is entering a profitable phase as the landscape matures into a stable triopoly, with the HHI projected to consolidate to 3,557 by 2025 (vs. 3,390 in 2019). This ascent from previous "price war" levels (2020–2021) signals structurally easing intensity, reaching its definitive form by 2027 with the XL Axiata and Smartfren merger integration alongside Telkomsel and IOH. While TLKM's 165 MHz portfolio is currently the industry's most "crowded" at 0.96M users/MHz, the 2027 expansion into 700 MHz and 2600 MHz will resolve capacity constraints and enhance 5G performance. This is critical as market surveys indicate consumers are willing to pay a 21% premium for consistent service quality. Consequently, the industry is shifting toward pricing rationality and margin optimization, treating data as an essential household staple **(Figure 12)**.

BUSINESS STRATEGY & COMPETITIVE POSITIONING

Business Strategy

Strategic Pivot toward an Open Network Ecosystem. TLKM is pivoting toward a "Network Enabler" model, transforming its infrastructure into an open access platform. By spinning off fiber assets and expanding data centers, TLKM effectively captures the CAPEX of its peers and global hyperscalers, who lease TLKM's established network instead of building their own. To maximize asset monetization, TLKM targets aggressive utilization across its infrastructure: **1)** Mitratel (MTEL) currently maintains a tenancy ratio of 1.5x, **2)** the fiber business is forecast to reach a 15% tenancy ratio by 2027 and 50% capacity by 2030. This strategic shift optimizes asset utilization and capital efficiency, with the fiber spin-off projected to contribute an additional EBITDA of IDR 2.0 trillion in 2027, scaling up to IDR 4.8 trillion by 2030, ensuring TLKM remains the backbone of Indonesia's digital economy.

Professional Governance and Portfolio Rationalization Driving Group Efficiency. TLKM's leadership overhaul under Danantara shifts toward professional governance, raising representation from approximately 11% to 67% **(Figure 13)**. From 2020–2024, only 1 of 9 BOD members had a non-SOE background, rising to 6 of 9 in 2025. This empowered team drives an "efficiency first" agenda, rationalizing the subsidiary portfolio from over 60 entities to 22 high-yield cores. By pruning underperforming units and merging overlaps, TLKM eliminates administrative drag and redundant overhead. This leaner architecture resulting in the slowing down of operating expense growth 1.7% (CAGR growth 25E–30F) from 2.8% (CAGR growth 19H–20H).

Competitive Positioning

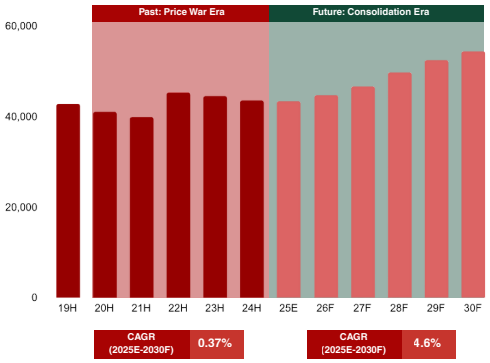
Infrastructure Provider. TLKM is executing a decisive structural pivot from a vertically integrated service provider to a premier "Network Enabler", effectively transitioning its core infrastructure into an open access platform. By spinning off fiber optic assets and expanding its data center portfolio, TLKM is uniquely positioned to capture the capital expenditures (CAPEX) of industry peers and global hyperscalers who prefer leasing established networks over building their own. This hosting model transforms TLKM's massive infrastructure into a multi-tenant revenue engine, allowing the company to monetize past investments far more effectively than its competitors. As a result, TLKM solidifies its position as the indispensable backbone of Indonesia's digital economy, ensuring that it remains the primary platform through which all digital traffic and services must flow.

INVESTMENT SUMMARY

Post-Consolidation Playbook: Mimicking Success in International Markets. The Indonesian telecommunications sector is positioned to replicate India's successful market evolution with ARPU projected to grow at a 4.6% CAGR from 25E to 30F **(Figure 15)**. Several catalysts within the Indonesian landscape mirror the Indian market including high population density and a transition from four players down to three. Historical data from India suggests that post-consolidation monetization follows a predictable pattern where 5G rollouts drive significant payload expansion and ARPU growth even if data yields remain relatively decreasing at a slower rate.

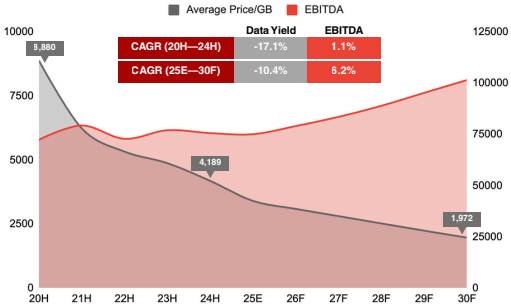
Transitioning Toward a High-Concentration Triopoly. The anticipated 2027 XL-Smartfren merger completion will formalize a rationalized triopoly, mirroring India's

Figure 15: A New Era of Value - ARPU Growth in a Consolidated Market



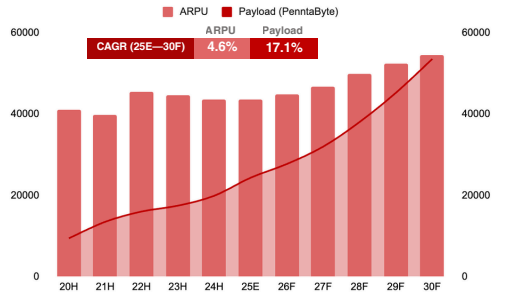
Source: Team Estimates

Figure 16: Tech-Driven Yield Declines Powering EBITDA Upside



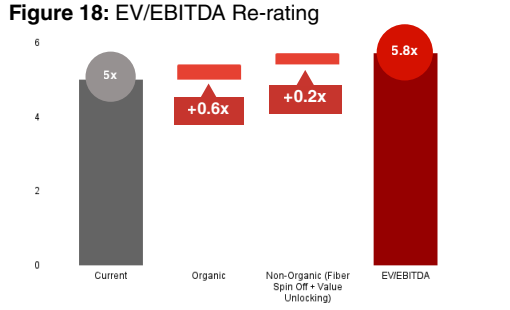
Source: Company Data

Figure 17: Payload Expansion as the ARPU Driver



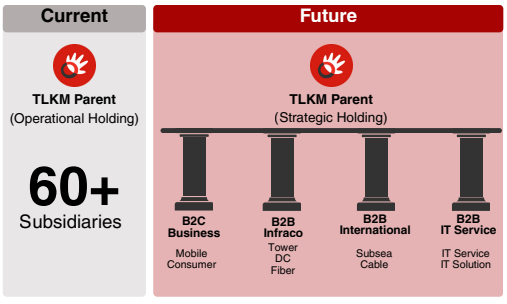
Source: Company Data

Figure 18: EV/EBITDA Re-rating



Source: Team Estimates

Figure 19: Streamlining 60+ Subsidiaries into Core Pillars



Source: Company Data

post-Vodafone-Idea (2022) consolidation. Easing competitive intensity is evident in a projected 2025E HHI of 3,557 (vs. 3,390 in the 2019 price war), where a higher score signifies increased market concentration and fewer players, structurally fostering a disciplined environment. While the 2022 Indosat-Tri merger triggered an initial ARPU rebound, the recovery was short lived as Smartfren maintained aggressive data pricing and all players continued offering excessively cheap starter packages. However, the XL-Smartfren merger has finally catalyzed industry-wide rationalization. With starter pack and data pricing now turning rational across all three remaining players, the sector hasshifted its focus from value destructive price wars toward sustained bottom-line profitability.

From Mitigating Churn Risks to Support ARPU Expansion. Indonesia's 3Q25 data yields rose 14.8% QoQ to Rp3,100/GB which supports the thesis of a sustained ARPU recovery despite current yields remaining low by international standards. Our proprietary market survey indicates a potential 17.8% ARPU upside driven by significant subscriber "stickiness" as 74.4% of respondents are unwilling to switch providers. High switching costs act as a primary barrier with 50.7% of users citing the extreme difficulty of migrating various digital accounts currently linked to their mobile numbers.

Harnessing 5G Adoption to Accelerate Payload Growth. The upcoming 2027 auctions for the 700MHz and 2600MHz spectrum bands will serve as the definitive catalyst for 5G adoption and payload acceleration. Historical data payload growth of 14.4% CAGR from 25E to 27F is projected to surge to 18.7% between 27F and 30F following the rollout **(Figure 17)**. Consumer appetite for enhanced connectivity remains strong as our survey reveals that 52% of respondents are willing to pay a 21.9% premium for 5G services.

Strategic Spin-offs: Unlocking Value & Earnings. TLKM's fiber spin-off unlocks significant value by transforming "lazy" assets into a dedicated, high-growth revenue engine. This shift to an open access model allows TLKM to monetize its infrastructure moat by capturing CAPEX from competing FBB players. Furthermore, the spin-off provides the essential fiber backhaul required to anchor Indonesia's expanding 5G ecosystem.

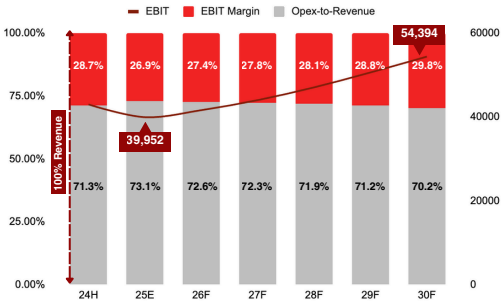
...Bolstered by Superior Capital Efficiency. TLKM consistently maintains a superior profitability profile relative to its peers, with a projected ROIC of 15.4%–18% (25F–30F). This performance significantly outperforms TLKM's 11.35% WACC, creating a wide spread for value creation. In contrast, industry peers such as ISAT (10.18%) and EXCL (6.73%) operate with ROIC levels significantly lower than TLKM's benchmark. This efficiency gap underscores TLKM's dominant position and its ability to generate higher returns on its massive infrastructure investments compared to the broader market.

...Catalyzed by the Infranexia Spin-off. The structural transition of fiber assets into the Infranexia entity is expected to generate an additional EBITDA increase of Rp3.94tn– Rp4.70tn through 2030. This focused operational model is projected to further boost TLKM's group-level ROIC by 1% to a robust 18% (FY30F) compared to core ROIC of 17%, as specialized management improves asset utilization rates and streamlines maintenance costs. This monetization is particularly critical given the current market landscape, while the FBB supply side remains consolidated among 5 major players, the demand side is highly fragmented with over 1,300 players. By leveraging Infranexia's streamlined operations, TLKM is better positioned to capture this massive, diverse demand. This additional cash flow generation provides the necessary liquidity to fund future network expansions and network quality upgrades while maintaining a healthy bottom line.

...Unlocked through Valuation Multiple Expansion. The monetization of fiber assets serves as a primary catalyst for a structural re-rating of TLKM's Enterprise Value. While the integrated group currently trades at legacy telco multiples, global "pure-play" infrastructure entities command a premium valuation range of 9x–14x EV/EBITDA. By carving out Infranexia at an implied 9.9x multiple, TLKM allows the market to decouple these high-value infrastructure assets from the core utility, bridging the valuation gap and unlocking latent shareholder wealth **(Figure 18)**.

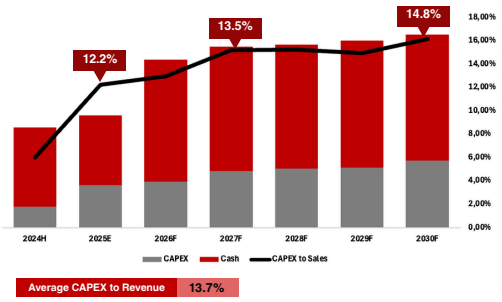
Improved Agility and Dividend Yield under Danantara. Under the strategic oversight of Danantara, TLKM is undergoing a fundamental pivot to maximize operational agility and capital discipline. This institutional transformation is anchored by a significant governance overhaul that shifted private sector Board of Directors representation from a minority of one out of nine during the 2020–2024 period to a decisive majority of six out of nine in FY25. A cornerstone of this transition is the appointment of Dian Siswarini as President Director, bringing over 30 years of telecommunications experience. Her proven track record is evidenced by her tenure at XL Axiata (IDX: EXCL) where she successfully expanded EBIT margins from 10.1% in 2020 to 16.7% by 2024 despite the intense industry price wars of 20H–24H.

Figure 20: Driving Margin Expansion through Efficiency



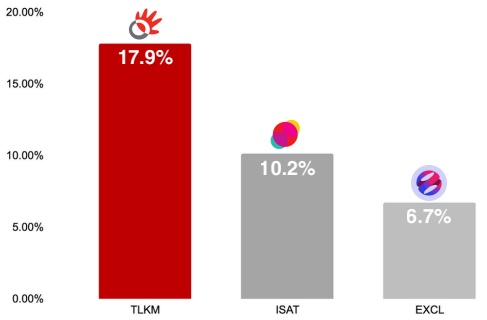
Source: Financial Report, Team Estimates

Figure 21: Sustaining Strategic CAPEX



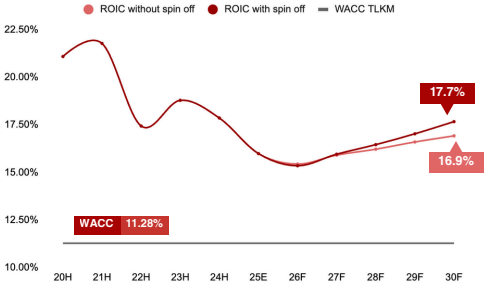
Source: Team Estimates

Figure 22: Superior ROIC



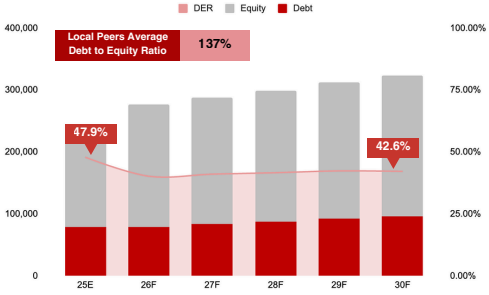
Source: Team Estimates

Figure 23: Sustaining High-Teen ROIC Through Strategic Realignment



Source: Team Estimates

Figure 24: Maintaining Prudent Leverage



Source: Financial Report, Team Estimates

Strategic Streamlining to Unlock Structural Margin Expansion. Strategic restructuring through subsidiary consolidation, from 60 down to 22, eliminates redundancies to focus on four core pillars: B2C Business, B2B Infrastructure, B2B International, and B2B IT Services (Figure 20). This streamlining drives favorable operating leverage, with a 3.39% OPEX CAGR (25E–30F) trailing a 4.23% revenue CAGR. This positive "jaws ratio" is projected to expand EBIT margins from 26.9% in FY25 to 29.8% by 2030.

Prioritizing Long-Term Shareholder Value and Enhanced Yields. Under Danantara, TLKM's mandate prioritizes long-term shareholder returns, supporting projected dividend yields of 6.8%–9.1% (26F–30F). These returns are bolstered by organic and significant non-organic contributions, exceeding the 6.7%–8.3% yields expected on a purely organic basis. By aligning institutional governance with private-sector efficiency, TLKM is poised to deliver consistent value throughout this structural growth phase.

FINANCIAL ANALYSIS

Strategic Infrastructure Pivot Drives Revenue Upside. TLKM's growth trajectory is pivoting from a steady-state utility profile toward high-growth infrastructure monetization. We project a notable revenue acceleration following the mid-2026 fiber spin-off, underpinned by two primary catalysts: **1)** InfraNexia (Fiber) segment is expected to contribute a prorated Rp515bn in 2026, scaling rapidly to a full-year contribution of Rp4 tn by FY30F with utilization rate of 50%, **2)** a stabilizing competitive landscape is set to drive a recovery in Mobile ARPU, with a projected 4.6% CAGR (FY25E–30F) a stark reversal from the stagnant 0.4% historical CAGR. While infrastructure and mobile segments show robust upside, we anticipate tactical pressure in the Fixed Broadband (FBB) segment, where increased Fixed Wireless Access (FWA) adoption is likely to dilute ARPU by a 1.6% CAGR over the same period.

...Streamlining Operations for Historic Margin Expansion. TLKM is entering a period of significant margin growth, with EBITDA margins projected to rise from 50.4% (24H) to 55.6% by 2030. This expansion is driven by a strategic pivot into four core pillars: **1)** Telkomsel and IndiHome, **2)** Telco Infrastructure (Tower, DC, etc.), **3)** B2B International Connectivity (Subsea cable), and **4)** IT Services. By executing the wholesale fiber spin-off and consolidating its structure, cutting subsidiaries from 60 down to 22, eliminating overlaps, and shedding non-performing assets, TLKM is transforming into a high-efficiency infrastructure holding company. The primary acceleration begins in 2026, where EBIT is expected to climb from 26.9% to 29.8% by the end of the decade **(Figure 20)**.

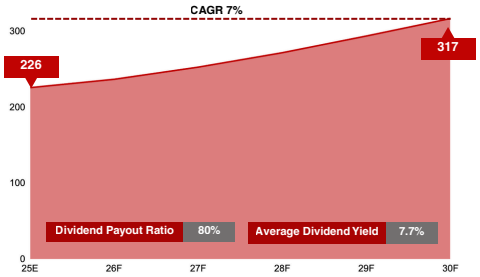
Fortified Balance Sheet Supports Net CAPEX. TLKM maintains a superior liquidity buffer, evidenced by a conservative CAPEX-to-cash reserve ratio of 88.6%, significantly outperforming the more leveraged positions of EXCL (189%) and ISAT (213%). This robust cash position ensures high capital stability and shields the balance sheet from the volatility of high-intensity investment cycles. Looking ahead, we expect TLKM's capital resilience to strengthen further as the fiber optic spin-off injects approximately Rp24tn in additional liquidity, effectively driving the CAPEX-to-cash reserve ratio down to a leaner 68% FY26F **(Figure 21)**.

...Unrivaled ROIC Profile Ensuring Value Creation. PT Telkom Indonesia's superior asset monetization capability is evidenced by its consistent ability to generate a Return on Invested Capital (ROIC) that maintains a healthy spread over its 11.7% WACC. This performance is supported by: **1)** maintaining a robust baseline ROIC of 17.9% (vs. ISAT's 10.18% and EXCL's 6.73% in 2024H **(Figure 22)**, **2)** the strategic transition into an "InfraCo" model to extract maximum profitability **(Figure 23)**, and **3)** 5G initiatives that are projected to expand ROIC toward 17.7% by 2030F. This resilient profile proves that TLKM is not just growing the top line, but actively creating economic value from its massive infrastructure investments.

Conservative Leverage Profile Despite Its Massive Asset Scale. While peers such as ISAT (212%) and EXCL (228%) operate with significantly higher leverage, TLKM has maintained a disciplined Debt to Equity (DER) range of 45%–49% between FY19 and FY24. Looking ahead, the InfraNexia spin-off serves as a major liquidity catalyst resulting cash infusion will reduce the need for external debt, driving the DER down from 49% in FY25E to 44% by FY30F. This strategic shift significantly enhances debt serviceability, with the Cash from Operations to Total Debt ratio projected to scale from 59% in FY25E to a robust 72% by 2030. Consequently, we expect a substantial deceleration in interest expense growth taming it to a 2.4% CAGR (25E–30F) compared to 4.2% CAGR (19H–24H) **(Figure 24)**.

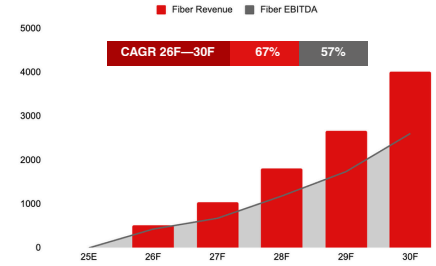
TLKM Continues To Distinguish Itself As A Premier Income Generator. Delivering a robust dividend of Rp212 per share FY24, representing a significant 78% payout ratio. We expect this commitment to total shareholder returns to intensify, with the dividend payout ratio (DPR) projected to anchor at 80%. This translates to an

Figure 25: TLKM's Progressive Dividend Trajectory



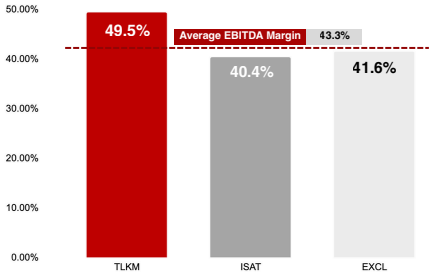
Source: Financial Report, Team Estimates

Figure 26: The Rise of TLKM's Fiber Revenue Pillar



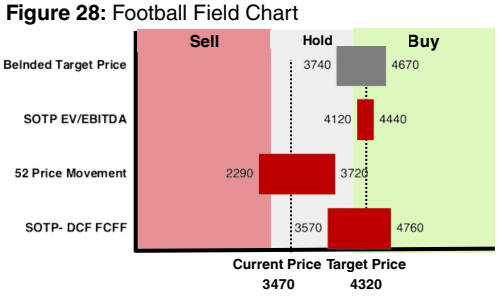
Source: Financial Report, Team Estimates

Figure 27: Leading Peers in EBITDA Generation



Source: Financial Report, Team Estimates

Figure 28: Football Field Chart



Source: Investing and Team Estimates

Table 4: Discounted Cashflow - Upisde Potential

Company	Telkomsel	MTEL	Other Subsidiaries
Enterprise Value	446.517	83.733	65.126
(-) Net Debt	52.149	19.927	(40.739)
Equity Value	**394.368**	**63.806**	**105.865**
Ownership	**69,90%**	**71,87%**	**100,00%**
Equity Value Contribu	275.663	45.857	105.865
Total Equity Value			**427.385**
Target Price			4310
Upside Potential			**24,21%**

Source: Team Estimates

Table 5: WACC

Company	Telkomsel	MTEL	Others
Equity Weight	81.2%	70.6%	81.2%
Debt Weight	18.8%	29.4%	18.8%
Adjusted BETA	1.4	0.7	0.9
Risk Free Rate	6.7%	6.7%	6.7%
Equity Risk Premium	7.0%	7.0%	7.0%
ESG Risk Discount	-100 BPS	-	-100 BPS
Cost of Equity	15.2%	11.7%	11.7%
Tax Rate	19.6%	23.0%	21.4%
After Tax Cost of Debt	4.6%	5.1%	5.3%
WACC	**13.3%**	**9.7%**	**10.5%**

Source: Team Estimates

estimated dividend range of Rp237–Rp317 per share (26F–30F), equivalent to 6.8%-9.1%. This sustained distribution profile is underpinned by a fundamental pivot in profitability as the company transitions into its high-efficiency infrastructure model, Net Income is poised to accelerate to a 6.22% CAGR (25E–30F) compared to historically of 1.1% CAGR (19H–24H) **(Figure 25)**.

VALUATION

Our analysis yields a BUY recommendation with a target price of Rp 4,320, implying a 24.5% potential upside from the current price of Rp 3,470 (2nd Jan 2025). We utilize a 70% absolute valuation weighting via SOTP (DCF-FCFF), valuing Telkomsel, Mitratel (MTEL), and other subsidiaries with a target price of Rp4,310. This reflects structurally improving cash flow profiles driven by: **1)** a more rational competitive landscape facilitating price repair, **2)** 5G-led yield adoption, and **3)** aggressive business streamlining. This is complemented by a 30% relative valuation weighting (SOTP EV/EBITDA) with a target price of Rp4,340, serving to validate capital intensive industry.

Absolute Valuation: SOTP DCF-FCFF

We employ a Sum-of-the-Parts (SOTP) approach using DCF-FCFF of Telkomsel, Mitratel (MTEL), and other key subsidiaries with a 5-year forecast period (25E-30F) as we believe this method is the most appropriate to valuate TLKM's blended capital structure and improve free cash flow performance. Arriving at a target price of Rp4,310, our valuation is underpinned by: **1)** a constructive competitive landscape and 5G-led data adoption, **2)** operational excellence through business streamlining driving margin expansion, **3)** the strategic Infranexia (fiber optic) spin-off as a catalyst for ROIC growth, and **4)** a robust balance sheet position to sustain long-term CAPEX requirements.

Revenue. We expect TLKM's top-line to grow at a 4.2% CAGR 25F–30F, effectively outpacing its historical 2.04% CAGR FY19-24. This growth acceleration is primarily underpinned by: **1)** the strategic 5G rollout acting as a data monetization catalyst and **2)** a consolidated MNO landscape in Indonesia driving healthier pricing power.

ARPU. We expect Telkomsel's (53.9% Revenue Contribution) ARPU will grow 4.7% (CAGR 25E–30F) as data usage continues to increase. On the other hand, we expect IndiHome (18.1% Revenue Contribution) ARPU to decline 1.6% (CAGR 25E–30F) due to the FWA and intense fiber optic market.

Number of Customers. The number of customers for Telkomsel is expected to grow modest 0.36% (25E–30F CAGR) due to the already high level of smartphone penetration, which limits the availability of new customer additions. On IndiHome's side, the number of customers is expected to grow modest 0.47% (25E–30F CAGR).

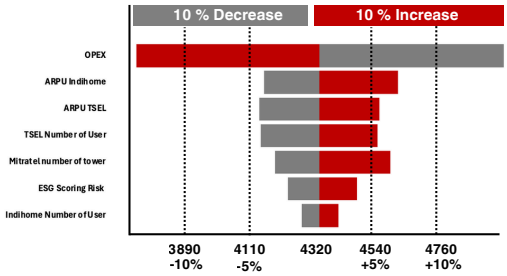
EBIT Margin Expansion. We project an EBIT CAGR of 6.4% (25E–30F), a stark reversal from the stagnant 0.3% (19H–24H). This turnaround is underpinned by aggressive operational streamlining and structural synergies. We expect a leaner cost profile driven by two key pillars: **1)** reducing subsidiaries from 60 to 22 by 2026, lowering maintenance to revenue ratio from 27.5% in FY25 to 25.4% by FY30, and **2)** a shift toward professional management, with non-SOE board representation surging from 20% to 67%, driving operational expense to revenue ratio from 21.4% to 18.9% FY25 to FY30.

Capital Expenditure. We project TLKM's net CAPEX trajectory to align with the capital-intensive nature of the telecommunications sector and the strategic phasing of the 5G rollout. While the group will maintain an average net CAPEX-to-sales ratio of 12.2%–13% (Rp18.1tn–Rp19.7tn) 25E–26F, we anticipate a period of intensified investment with the ratio peaking at 13.4%–14.8% (Rp21tn–Rp27tn) between 27F and 30F. This surge is due to the post auction frequency acquisition and the subsequent acceleration of 5G infrastructure deployment.

WACC. We derive a WACC of 10.5% for TLKM, underpinned by a 12.64% Cost of Equity calculated via the CAPM framework. This valuation incorporates: **1)** 6.71% risk-free rate (10-year Indonesia sovereign yield), **2)** 7.04% equity risk premium, and **3)** 5-year adjusted beta of 0.93. Notably, we have applied a 100bps ESG discount to reflect the superior sustainability ratings of Telkomsel and the broader group. Combined with a weighted average cost of debt of 5.28% for FY26 **(Table 5)**.

Terminal Growth Rate. We used a sustainability growth rate of 3.36% as the terminal growth rate, considering TLKM and the industry's maturity, with limited room for growth after the 5 year forecast period.

Figure 29: Tornado Analysis



Source: Team Estimates

Market Valuation: SOTP EV/EBITDA

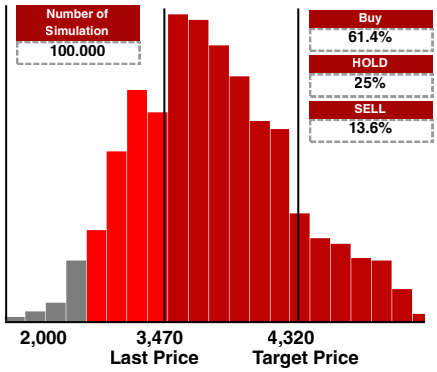
Market Valuation: EV/EBITDA Multiples. We conduct a relative valuation using EV/EBITDA multiples to reinforce our bullish thesis on TLKM. We believe this method is appropriate to justify the capital intensive industry. Given TLKM's unique integrated model spanning telecommunications infrastructure and mobile network operations (MNO), we categorized our peer universe into four distinct segments. Our comparable selection includes regional peers that mirror TLKM's operational scale and the specific demographic and geographic complexities of the Indonesian market. We use the market leaders of each country as peer benchmarks, consistent with TLKM's position as the domestic market leader. TLKM is currently trades at an EV/EBITDA of 5x, representing a notable discount relative to its international peers' average. We believe TLKM is fundamentally undervalued, justified by: **1)** competitive easingness bouncing back EV/EBITDA to pre-price war era, **2)** value crystallization via InfraNexia, the structural carve-out of fiber assets at a premium 9.9x EV/EBITDA multiple serves as a powerful re-rating catalyst, and **3)** stronger EBITDA growth of 5.3% compared to peers' average 4.11% in FY26.

Table 6: Superior Fundamentals at Discounted Multiples

Ticker	EV/EBITDA			Net Debt	EBITDA Growth FY26	EV/Revenue			P/E		
	2025E	2026F	2027F			2025F	2026F	2027F	2025F	2026F	2027F
EXCL IJ Equity	4.88x	4.49x	4.23x	44,648	-1.76%	2.44x	2.27x	2.15x	18.08x	19.22x	16.67x
ISAT IJ Equity	4.58x	4.36x	4.2x	50,412	4.95%	2.18x	2.09x	2.01x	13.79x	12.01x	10.71x
CBD MK Equity	9.45x	9.18x	8.89x	12,851	2.95%	4.34x	4.27x	4.2x	23.99x	21.34x	19.52x
GLO PM Equity	6.74x	6.24x	6.28x	344,214	2.93%	3.22x	3.11x	3.x	11.34x	10.16x	9.14x
AXIATA MK Equity	8.13x	9.51x	9.3x	29,533	-14.45%	3.74x	4.38x	4.02x	41.45x	34.37x	25.7x
TEL PM Equity	5.5x	5.13x	5.09x	325,477	7.05%	2.75x	2.65x	2.55x	7.8x	7.4x	7.13x
TRUE TB Equity	7.52x	7.1x	6.93x	409,133	5.98%	3.94x	4.x	3.91x	25.27x	18.76x	15.63x
BHARTI IN Equity	-	12.55x	10.88x	-	25.21%	.x	7.11x	6.25x	-	43.56x	30.56x
TLKM IJ Equity	**5x**	**5.8x**	**5.5x**	**31,497**	**5.30%**	**3.02x**	**2.96x**	**2.83x**	**12.29x**	**11.7x**	**10.96x**
Peers Average	**6.1x**	**6.7x**	**6.6x**	**173,753**	**4.11%**	**2.83x**	**3.74x**	**3.51x**	**20.25x**	**20.85x**	**16.88x**

Source: Team Estimates, Bloomberg Terminal

Figure 30: 100,000 Monte Carlo Simulation



Source: Team Estimates

Risk to Target Price

To ensure our **BUY** recommendation robustness, we performed four distinct methods to illustrate the recommendation sensitivity, including tornado analysis, bull/bear scenario analysis, Monte Carlo simulation, and sensitivity analysis.

Tornado Analysis & Monte Carlo Simulation. To test for significant drivers impacting our target price, we ran a tornado analysis on 7 variables: **1)** OPEX, **2)** Indihome's ARPU, **3)** Telkomsel's ARPU, **4)** IndiHome's number of users, **5)** Telkomsel's number of users, **6)** Mitratel's number of towers, **7)** ESG risk scoring. Under this analysis, OPEX is the most significant variable with an increase of 11.8% in OPEX will lead our recommendation to SELL. Furthermore we performed monte carlo simulation with 8 key variables. Through 100,000 simulations, we obtained 61.4% BUY possibility, 25% HOLD possibility, and 13.6% SELL possibility.

Bull/Bare Scenario. We also conducted a bull/bear analysis with multiple scenarios to reflect the materialization of our three investment theses.

Table 7: Bull Bear Base Scenario

Scenarios	Bear	Base	Bull
5G adoptation uplifts data usages and ARPU	5G adoptation slower than anticipated	5G adoption continues to gain momentum, closely tracking our strategic expectations	5G adoptation faster than anticipated
ARPU Growth CAGR (25E-30F)	**2.1%**	**4.6%**	**6.2%**
Value Unlocking Uplift ROIC	TLKM unsuccessfully spin off its fiber optic (lower utilization rate)	TLKM able to successfully utilized its fiber optic	TLKM successfully utilized its fiber optic with higher utilization rate
Fiber Utilization Rate and ROIC (26E-30F)	(5%-45%) & (15.6%-13.3%)	(10%-50%) & (16%-17.7%)	(15%-55%) & (16.9%-20.5%)
Corporate staregies drives efficiency	The impact of TLKM's streamlining initiatives has yet to fully materialize in the bottom line	The impact of TLKM's streamlining initiatives has fully materialize in the bottom line	Lower OPEX enables EBIT margin expansions
EBIT Margin (25E-30F) (%)	**25.6%-23.8%**	**26.9%-29.8%**	**26.9%-33.3%**
Share Price	**3740 (7.8%)**	**4320 (24.5%)**	**4670 (34.6%)**

Source: Team Estimates

Table 8: Superior ESG Scoring

Performance	ESG Score	Impact
Strong	TLKM (8.4) TOWR (8.4)	Higher
Moderate	ISAT (8.0) TBIG (8.0)	Unchanged
Weak	EXCL (7.9)	Lower

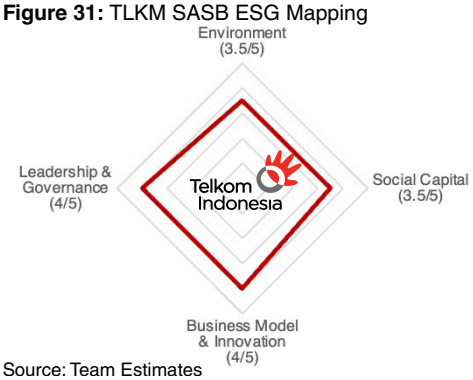
Source: Company Data, Team Estimates

Table 9: ASEAN Governance Scoring

A	**Rights and Equitable Treatment of Shareholders**	**30/30**
A1	Basic Shareholder Rights	1/1
A2	Right to Participate and Vote in GMS	15/15
A3	Streamlined Transparency	1/1
A4	Shareholder Rights	1/1
A5	Shares and Voting Rights	1/1
A6	Notice of AGM	5/5
A7	Insider Trading	1/1
A8	Related Party Transactions	3/3
A9	Minority Shareholders	2/2
B	**Sustainability and Resilience**	**22/22**
B1	Sustainability Disclosure	6/6
B2	Stakeholder Communication	2/2
B3	Evaluate Sustainability	1/1
B4	Rights of Stakeholders	7/7
B5	Stakeholder Interests	1/1
B6	Employee Participation	3/3
B7	Report Unethical Practices	2/2
C	**Disclosure and Transparency**	**34/34**
C1	Transparent Ownership Structure	5/5
C2	Quality of Annual Report	6/6
C3	Remuneration	4/4
C4	Related Party Transactions (RPT)	2/2
C5	Management Dealings in Shares	1/1
C6	External Auditor and Report	2/2
C7	Medium of Communications	4/4
C8	Timely Filing of Financial Reports	3/3
C9	Company Website	6/6
C10	Investor Relations	1/1
D	**Responsibilities of The Board**	**63/63**
D1	Board Duties and Responsibilities	6/6
D2	Board Structure	24/24
D3	Board Processes	20/20
D4	People on the Board	6/6
D5	Board Performance	7/7

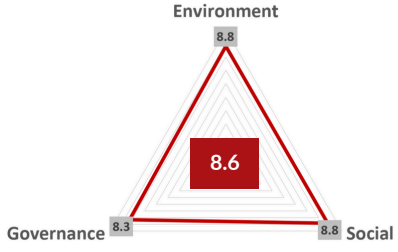
Source: Company Data, Team Estimates

Figure 31: TLKM SASB ESG Mapping



Source: Team Estimates

Figure 32: Telkomsel ESG Score



Source: Team Estimates

ENVIRONMENT, SOCIAL, AND GOVERNANCE

Environment, Social, and Governance (8.4/10)

We applied the MSCI ESG Framework and SASB standards to identify material ESG factors and assess TLKM's ESG performance. TLKM achieved an overall score of 8.4 out of 10.0, based on an evaluation of key issues across three pillars: **1)** Environment: Energy Management, Carbon Emission, and Product End-of-Life Management. **2)** Social: Labor Management, Workforce Diversity, Customer Privacy and Security. **3)** Governance: Corporate Governance, Competitive Behaviour, and Systemic Risk Management.

Environment (7.9/10)

A score of 7.9/10 reflects disciplined management of energy use, carbon emissions, and asset efficiency, with increasing efficiency investments and early progress in circular sourcing alongside continued network expansion.

Strengthening Energy Efficiency Amid Network Expansion. TLKM demonstrates disciplined energy management through efficiency initiatives to control energy demand amid network expansion. In 2024, energy efficiency spending increased to Rp57.4 billion from Rp26.1 billion in 2023, reflecting scaled-up environmental investment through network optimization, energy-efficient equipment, and expanded use of electric vehicles.

…Leading to Improved Carbon Emission Performance. Building on energy efficiency initiatives, TLKM strengthened carbon management through GHG Protocol aligned accounting. In 2024, Scope 1 emissions fell 2.0% and Scope 3 emissions declined 8.1%, supported by CAPEX efficiency initiatives, while clear targets including a 20% reduction in Scope 1 and 2 emissions by 2030 from a 2023 baseline signal early progress toward longer term decarbonization.

Strengthening Circular Sourcing and Asset Efficiency. Material recovery and end of life management are increasingly important as network infrastructure expands. In 2024, the company recovered 52.6 metric tons of materials, of which 6% were reused, 46% recycled or remanufactured, and 54% disposed of in landfill. In addition, Telkom Group diverted 176,046 kg or 80% of fiber optic cable waste from final disposal through reuse to support customer service provisioning.

Social (8.8/10)

The 8.8/10 social score is driven by strong employee engagement, sustained investment in skills development, inclusive workforce initiatives, and robust safeguards for customer data and privacy.

Strengthening Employee Engagement, Capability, and Well-being. Labor management focuses on employee engagement and capability development at the group level. In 2024, the engagement index remained strong at 84.41%, supported by continued training investment averaging 825 hours per employee per year, alongside a holistic well-being framework and strong health and safety outcomes with no reported discrimination cases or work-related fatalities.

Advancing Workforce Representation. Diversity and inclusion are embedded in workforce planning through group-wide targets and monitoring. In 2024, women comprised 31.96% of employees, broadly aligned with the 32% 2030 target, and held 22% of managerial roles toward a 27% target, while employees with disabilities represented 0.4% of the workforce against a 1.5% long-term goal. Digital talent development reached 20.6% of the workforce, supporting ongoing business transformation.

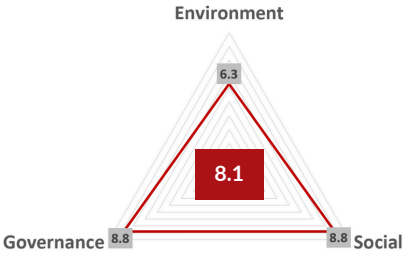
Robust Data Privacy and Security with Zero Breach Record. Strong data privacy and security are underpinned by robust controls. In 2024, no confirmed data breaches occurred, with no customer impact or regulatory consequences, while continued cybersecurity monitoring and alignment with Indonesia's Personal Data Protection Law No. 27/2022 and ISO 27001 reinforce governance discipline and customer trust.

Governance (8.3/10)

With a score of 8.3/10, governance is characterized by an institutionalized framework that emphasizes effective board leadership, risk oversight, transparency, and regulatory compliance.

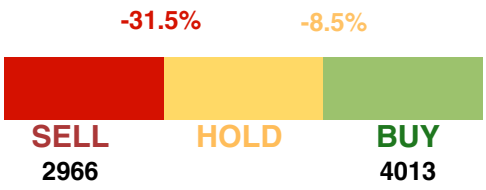
Strong and Institutionalized Governance Framework. Institutionalized corporate governance supports effective oversight and long term value creation through clear structures and strong internal controls, led by a professionally composed Board with diverse expertise, including six of nine members from the private sector. Governance strength is further evidenced by full alignment with the ASEAN Corporate Governance Scorecard across key pillars **(Table 9)**.

Figure 33: MTEL ESG Score



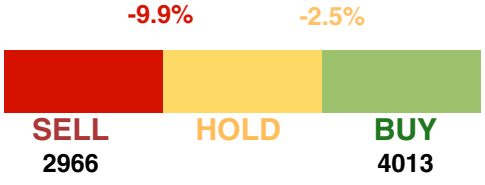
Source: Team Estimates

Figure 34: ARPU Stress Test



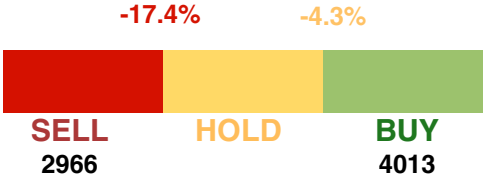
Source: Team Estimates

Figure 35: Data Yield Stress Test



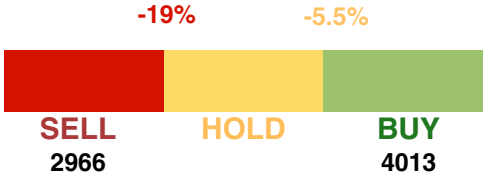
Source: Team Estimates

Figure 36: Data Usage Stress Test



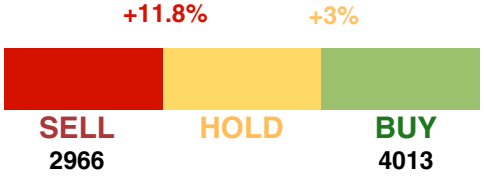
Source: Team Estimates

Figure 37: Fiber Penetration Rate Stress Test



Source: Team Estimates

Figure 38: OPEX Stress Test



Source: Team Estimates

Regulatory Compliance in Competitive Conduct. Competitive behaviour is managed through regulatory compliance and internal controls. In 2024, no material legal cases or financial losses related to anti-competitive practices or monopoly violations were reported.

Operational Risk Governance and Service Continuity. Risk management supports network resilience through continuous monitoring and coordinated incident response. In 2024, despite 3,927 fiber optic backbone disruptions, customer impact remained controlled, with Q disruptions at 3.59 and average repair time of about 6.2 hours, indicating disciplined operational risk oversight.

ESG Performance Impact. Our analysis shows that TSEL, with an ESG score of 8.6 **(Figure 32)**, is a strong performer, warranting a 100 bps ESG discount to its cost of equity due to its lower ESG risk profile. In contrast, MTEL records an ESG score of 8.1 **(Figure 33)**, classifying it as a moderate performer with ESG risks aligned to the industry average; therefore, no adjustment to its cost of equity is applied.

INVESTMENT RISKS

Macroeconomical Risk

MR 1: Disposable Income

Indonesia's telecommunications growth narrative is fundamentally tied to the upward mobility of its entire consumer base. As operators shift focus from subscriber acquisition to monetization, the success of "premiumisation", upselling 5G, bundled content, and FMC, is strictly gated by the Indonesian "pocket size." Consequently, ARPU expansion has become a direct reflection of general disposable income levels across all classes. This creates a critical macroeconomic dependency: if disposable income decreases, there is a significant risk that the potential for further income growth will be stalled. Without sufficient financial headroom, consumers hit an immediate affordability ceiling, forcing them to prioritize basic connectivity over high-value services.

Impact on Valuation: Our sensitivity model results in HOLD recommendation if ARPU is lower 8.5 than our estimate returning to 2020 ARPU **(Figure 34)**.

Mitigant: The risk of a sustained decline in disposable income is mitigated by the government's strategic focus on the 2045 Golden Indonesia goal and the Industry 4.0 roadmap. National policy is increasingly geared toward transitioning the workforce into higher value digital sectors, which naturally drives wage growth. Furthermore, government mandates to improve public welfare and maintain a stable prosperous wallet are expected to sustain the financial headroom necessary for consumers to adopt premium telecom offerings and 5G services.

Industry Risk

IR 1: Pricing Intensity

While the market is currently in a "rationalized" phase under a stable triopoly, the risk of resurgent pricing intensity remains a critical threat. Any breakdown in market discipline, often triggered by aggressive attempts to defend market share, could spark a price war that would cannibalize ARPU recovery. This potential return to aggressive discounting risks stalling the industry's shift toward profitability and undermines the premiumisation strategy.

Impact on Valuation: In a more competitive environment, we recommend a HOLD if actual yield declining faster than our estimates by 2.5% **(Figure 35)**.

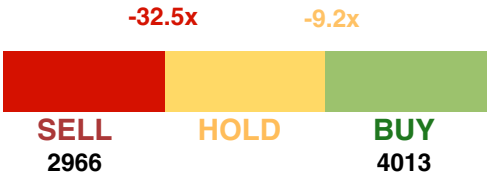
Mitigant: While price competition persists, service quality has become the primary driver of churn. Industry data suggests that "usage friction", specifically billing errors and order delays, causes higher churn rate than competitor discounts. TLKM is mitigating this by upgrading the MyTelkomsel app to provide real-time, granular data tracking, removing billing uncertainty. This "service first" strategy justifies TLKM's pricing premium and builds a moat. This is further reinforced by Fixed-Mobile Convergence (FMC), which pivots the focus from value destructive price wars to long-term ecosystem loyalty.

IR 2: 5G Monetization Uncertainty

A structural risk remains regarding the Indonesian market's ability to convert 5G rollouts into meaningful payload growth. Should the 5G ecosystem, including device penetration and enterprise use cases, fail to mature by 2027, the significant capital outlays for the 700 MHz and 2600 MHz spectrum auctions may yield sub-optimal returns, potentially pressuring long term ROIC.

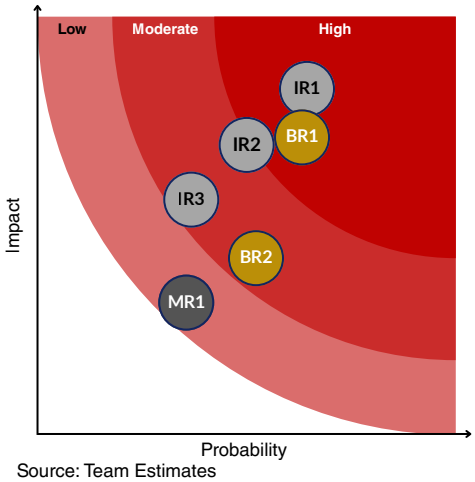
Impact on Valuation: 5G monetization faces significant headwinds if the Indonesian market lacks immediate high-bandwidth demand leading to underperforming our data usage estimate. Should data usage underperform our base-case estimates by 4.3%, we would recommend shifting to a HOLD rating to reflect the diminished return on

Figure 39: Infranexia EV/EBITDA Multiple Stress Test



Source: Team Estimates

Figure 40: Risk Matrix



Source: Team Estimates

invested capital **(Figure 36)**.

Mitigant: TLKM has already launched commercial 5G packages, leveraging its dominant ex-Java footprint to ensure immediate network scale as the ecosystem matures. By simultaneously prioritizing B2B 5G deployments, TLKM diversifies its monetization strategy beyond retail, accelerating returns through high bandwidth enterprise use cases.

IR 3: Disruptive Network Provider

The structural preference for fiber-to-the-home (FTTH) is being challenged by the rising penetration of FWA. Should FWA adoption exceed base case projections, it may cannibalize the FBB market rather than merely serving as a complementary solution. This poses a specific risk to IndiHome's revenue quality, as the substitution could compress overall blended ARPU.

Impact on Valuation: The widespread implementation of Fixed Wireless Access (FWA) poses a significant threat to Telkom's (TLKM) Fixed Broadband (FBB) growth, as it may cannibalize traditional fiber demand and stall penetration rates. We would transition our recommendation to HOLD should FBB penetration underperform our baseline estimates by 5.5% **(Figure 37)**.

Mitigant: Telkom is well-positioned to offset potential FBB cannibalization by leveraging its extensive infrastructure. Through its tower subsidiary (Mitratel), the Group can capture the FWA growth trend by providing essential tower space and Infranexia fiber backhaul to FWA players, effectively converting a competitive threat into a diversified wholesale revenue stream.

Business Risk

BR 1: Margin Compression

TLKM's pivot toward professional, private-sector management aims to drive operational excellence; however, the integration process faces 'culture clash' risks typical of large scale SOEs. Failure to harmonize these distinct corporate identities may stall the anticipated synergy realization. This is particularly relevant to the rationalization of redundant operational layers, where bureaucratic inertia could protect inefficiencies and delay the turnaround of underperforming business units.

Impact on Valuation: Should bureaucratic friction result in OPEX exceeding our projections by 4%, the anticipated margin expansion would be neutralized. We would shift our recommendation to HOLD if these integration challenges prevent the realization of operational synergies by this margin **(Figure 38)**.

Mitigant: Management is shifting toward a performance-based bonus structure that prioritizes synergy realization and OPEX reduction. By tying mid-management incentives to specific "Cost-to-Serve" reductions, the company creates a financial motive for bureaucratic layers to streamline operations rather than protect legacy inefficiencies.

BR2: Execution of Value Unlocking

The anticipated re-rating of TLKM depends on the Infranexia transaction, yet, execution risk remains high. Should broader market instability or an elevated cost of capital trigger a contraction in EV/EBITDA multiples for digital infrastructure assets, management may struggle to secure the premium valuation sought. Such a discrepancy would jeopardize the capital recycling program intended to fund the company's broader structural transformation.

Impact on Valuation: Should geopolitical instability lead to a transaction multiple of 9x EV/EBITDA or lower, it would imply that the market is not yet pricing in the expected "InfraCo" premium. Such a valuation would result in a significant shortfall compared to our bullish case, prompting us to shift our recommendation to HOLD **(Figure 39)**.

Mitigant: To ensure a premium EV/EBITDA multiple, management is focusing on maximizing the utilization rate of Infranexia's digital infrastructure. By securing "anchor tenants" and increasing the tenancy ratio of towers and occupancy of data centers, TLKM can drive significant EBITDA expansion. High utilization acts as a proof of concept for the "InfraCo" model, signaling to investors that the assets are high-yielding and scalable, which mitigates the risk of a multiple contraction.

APPENDIX

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C.9. Good Corporate Governance
C.10. Comparable Analysis Tower and Fiber
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A. Business Overview

A.1 SWOT Analysis

Source: Company Data, Team Estimate

Strengths

- Dominant market leadership
- Unmatched Infrastructure
- Strong Sovereign Backing

Weaknesses

- Inefficient subsidiaries

Opportunities

- Data center and AI scaling
- Asset monetization
- B2B Digital Transformation

Threats

- Risk of intense price wars
- Technological disruption
- Regulatory burden

A.2 Business Model Canvas

Source: Company Data, Team Estimate

Key Partners

- Strategic shareholders
- Global tech giants
- Infrastructure partners (energy providers, construction contractors)
- Tower provider (Mitratel)
- Content & OTT providers
- Network technology providers
- Government & Regulator (Kominfo, BSSN)

Key Activities

- Five Bold Moves Execution
- Network Deployment & Operations
- Product Innovation
- Sales & Marketing
- Strategic Investments

Key Resources

- Nationwide fiber optic backbone
- 4G/5G frequency spectrums
- Massive customer database (Big Data)
- Skilled digital talent & engineers
- Strong brand equity

Value Proposition

- Seamless fixed-mobile connectivity (Telkomsel One)
- Widest network coverage and highest reliability in Indonesia
- End-to-end digital solutions (Cloud/IoT/Security)
- Access to diverse entertainment, gaming (Dunia Games), and financial services

Customer Relationships

- App-based self-service & AI Chatbot
- Telkomsel Poin rewards and algorithmic product recommendations
- Dedicated Account Managers and Service Level Agreements for B2B

Channels

- MyTelkomsel app
- Official website
- E-commerce
- GraPARI centers
- Plasa Telkom
- Direct sales teams
- Account Managers

Customer Segments

- B2C: Mobile users & Home broadband (IndiHome) families
- B2B: Enterprises, Government, Wholesale operators, ISPs

Cost Structure

- Network infrastructure CAPEX
- Maintenance and telecommunication expense
- Operational expense (personnel, G&A, and interconnection)
- Depreciation and amortization expense

Revenue Streams

- Mobile Data & Legacy (B2C): 53.9% (Telkomsel)
- Consumer/Fixed Broadband (B2C): 18.1% (IndiHome)
- Enterprise Solutions (B2B): 13.6%
- Wholesale/International (WIB): 12.9%
- Others B2B: 2.5%

A.3 Board of Commissioners

Source: Company Data

Board of Commisioners	Position
Angga Raka Prabowo	**President Commissioner** Education: Bachelor's degree in International Relations from Universitas Jayabaya (2011) President Commissioner PT Aneka Rupa Pangan (2022--2025)
Ossy Dermawan	**Commissioner** Education: Master of Science in Strategic Studies from S. Rajaratnam School of International Studies (RSIS) Executive Director of SBY Ani Museum (2020--2025)
Rionald Silaban	**Commissioner** Education: Master of Laws (LL.M.) from Georgetown University (1993) Director General at the Directorate General of State Assets, Ministry of Finance of the Republic of Indonesia (2021–2025)
Silmy Karim	**Commissioner** Education: Master of Economics from Universitas Indonesia (2007) Vice Minister of Immigration and Corrections of Indonesia (2024–Present)
Rizal Mallarangeng	**Commissioner** Education: Doctor of Philosophy in Comparative Politics from Ohio State University (2000) Director General at the Directorate General of State Assets, Ministry of Finance of the Republic of Indonesia (2021–2025)
Deswandhy Agusman	**Independent Commissioner** Education: MBA in Finance, Business, and Economics from the University of Denver (1988) Independent Commissioner of PT Berau Coal Energy Tbk (2015–Present)
Ira Noviarti	**Independent Commissioner** Education: Bachelor's degree in Accounting from Universitas Indonesia (1995) Strategic Advisor at Warburg Pincus LLC (2025–Present)
Rofikoh Rokhim	**Independent Commissioner** Education: Doctor of Philosophy in in Economics from Université de Paris 1 Pantheon-Sorbonne (2005) Independent Commissioner of PT Bank Rakyat Indonesia Tbk (2017–2025)

A.4 Board of Directors

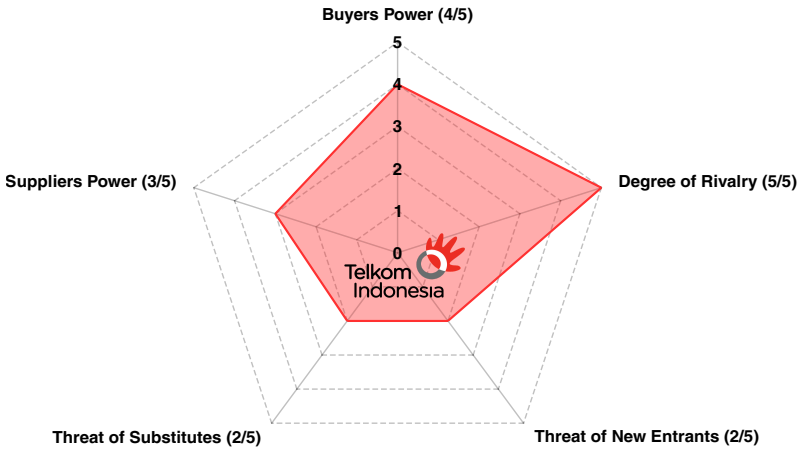
Source: Company Data

Board of Directors	Position
Dian Siswarini	**President Director** Education: Bachelor's degree in Electrical Engineering from Institut Teknologi Bandung (1991) President Director & CEO of PT XL Axiata Tbk (2015–2025)
Arthur Angelo Syailendra	**Director of Finance and Risk Management** Education: Master of Science in Management Science and Engineering with a concentration in Economics and Finance from Stanford University (2007) Commissioner of PT Indesso Primatama (2022–2025)
Veranita Yosephine	**Director of Enterprise & Business Service** Education: Business Administration studies at INSEAD (2016) CEO of AirAsia Indonesia (2019–2025)
Nanang Hendarno	**Director of Network** Education: Master's degree in Space System Engineering from Delft University of Technology (1997) Chief Executive Officer of PT Infrastruktur Telekomunikasi Indonesia (2022–2025)
Seno Soemadji	**Director of Strategic Business Development & Portfolio** Education: Master of Business Administration from Institut Teknologi Bandung (2020) Executive Vice President of Indosat Ooredoo Hutchison Tech Indosat Business (2023–2025)
Faizal Rochmad Djoemadi	**Director of Digital IT** Education: Doctor of Philosophy in Human Resource from Universitas Brawijaya (2019) President Director of PT Pos Indonesia (2020–2025)
Willy Saelan	**Director of Human Capital Management** Education: Master's degree in Human Resources Management from University of Leeds (1997) Vice President Human Resources PT Unilever Indonesia Tbk (2016–2025)
Andy Kelana	**Director of Legal & Compliance** Education: Master of Business Administration from University of Hawaii at Manoa (1994) Partner at Adnan Kelana Haryanto & Hermanto (2000–2025)
Budi Satria Dharma Purba	**Director of Wholesale & International Service** Education: Master's degree in Telecommunication Engineering from RMIT University (1997) Chief Executive Officer of PT Telekomunikasi Indonesia International (Telin) (2021–2025)

B. Industry Overview and Surveys

B.1 Porter's Five Forces

Source: Team Estimate

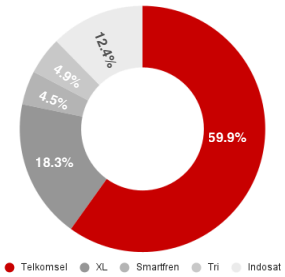


Porter's Forces	Explanation
Bargaining Power of Buyers (4/5)	**B2C: High** Retail consumers possess very strong bargaining power due to high price sensitivity and the ease of switching services (high churn rate) to chase cheaper data package promotions from competitors. However, the status of data as an "essential household staple" ensures continued usage, and Telkom's monopoly in rural areas limits buyer alternatives outside major cities. **B2B: Moderate** While large clients leverage volume for better pricing, they are dependent on Telkom's unique position as the primary "Network Enabler." Competitors lack the vertically integrated infrastructure required for complex nationwide government projects and wholesale interconnection, making switching vendors difficult.
Bargaining Power of Suppliers (3/5)	**Moderate** Telkom balances supplier power by implementing a multi-vendor strategy for network technology (using Huawei, ZTE, and Ericsson) to prevent single-source dependency, supported by Telkom's massive purchasing volume which provides strong negotiation power. However, the industry's reliance on a few global tech giants for specific 5G hardware, advanced cloud infrastructure, and exclusive premium entertainment content providers (such as Netflix or Disney+) ensures that certain key suppliers retain significant bargaining power in determining technology licensing fees or broadcasting rights.
Threat of New Entrants (2/5)	**Low** The barrier to entry in this industry is extremely high due to the massive capital expenditure (capex) required to build nationwide network infrastructure and the limited availability of frequency spectrum licenses, which are strictly regulated by the government. Furthermore, Telkom's immense economies of scale create market dominance and cost barriers that are difficult to match, meaning that while new players like global satellite providers (Starlink) exist, they tend to fill specific niche markets rather than directly threatening the core business of major operators in the short term.
Threat of Subtitutes (2/5)	**Low** Substitution risk is limited to free public Wi-Fi and emerging LEO satellite services such as Starlink, which can partially bypass terrestrial infrastructure. However, these alternatives remain niche due to higher costs, regulatory constraints, and an inferior price-to-performance ratio compared with mobile and fixed broadband, limiting their ability to replace TLKM's core connectivity services at scale.
Degree of Rivalry (5/5)	**High** The intensity of competition in the telecommunications industry is very high due to aggressive data tariff wars and the consolidation of major competitors (such as the Indosat Ooredoo Hutchison merger), which now possess resources comparable to Telkomsel to challenge its market dominance, especially outside Java. Additionally, competitors are aggressively expanding fiber optic networks into residential areas (Fixed Broadband), forcing Telkom to continuously make massive investments in improving network quality, internet speeds, and digital services to avoid losing significant market share in an increasingly saturated market.

B.2 Survey on Consumers

Source: Team Research

We surveyed 227 respondents across diverse demographics and geographic regions to capture a comprehensive view of current consumer behavior and sentiment.



62% Willing To Increase ARPU

Average ARPU	Max. Tolerance ARPU
Rp103,175	Rp121,500 (+18.7%)

52% Willing To Pay More For 5G

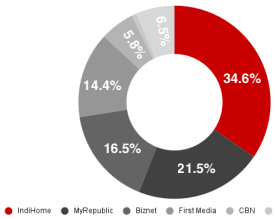
Average ARPU	ARPU 5G Service
Rp103,175	Rp125,800 (+22%)

*Potential **ARPU expansion** after consolidation confirmed by our proprietary survey*

Stickiness Factor: Why People Won't Change Their Provider?

High digital switching costs (50.7%)	Network Stability (21.7%)	Network Quality (20.7%)

Current Wi-Fi Provider



FWA Acceptance Rate

Yes (82.7%)

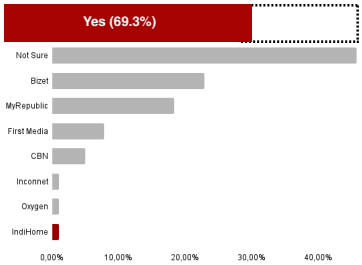
*FWA poses a **threat** as a viable, high-adoption alternative that could disrupt the traditional Fixed Broadband market share.*

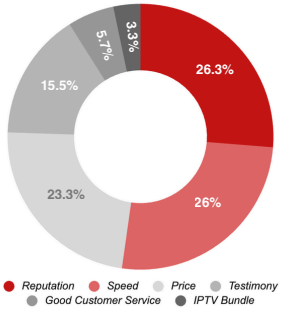
Important Things

- Reliability
- Quality
- Customer Service
- Testimony
- Reputation
- Price

Willingness to Change Wi-Fi Provider

Yes (69.3%)





C. Financials and Valuation

C.1 Income Statement

Source: Company Data, Team Estimate

Income Statement

Scenario Running : Base Case Scenario	Historical CAGR	Forecasted CAGR	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Revenue	2,04%	4,23%	135.567	136.462	143.210	147.306	149.216	149.967	148.419	151.787	158.556	167.727	175.858	182.544
Margin			100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Growth				0,66%	4,94%	2,86%	1,30%	0,50%	-1,03%	2,27%	4,46%	5,78%	4,85%	3,80%
(-) Operating Expense	2,80%	3,39%	(93.173)	(92.957)	(95.647)	(107.725)	(104.832)	(106.976)	(108.467)	(110.158)	(114.535)	(120.665)	(125.236)	(128.150)
Margin			-68,7%	-68,1%	-66,8%	-73,1%	-70,3%	-71,3%	-73,1%	-72,6%	-72,2%	-71,9%	-71,2%	-70,2%
Growth				-0,23%	2,89%	12,63%	-2,69%	2,05%	1,39%	1,56%	3,97%	5,35%	3,79%	2,33%
Operating Income	0,28%	6,37%	42.394	43.505	47.563	39.581	44.384	42.991	39.952	41.629	44.021	47.062	50.622	54.394
Margin			31,3%	31,9%	33,2%	26,9%	29,7%	28,7%	26,9%	27,4%	27,8%	28,1%	28,8%	29,8%
Growth				2,62%	9,33%	-16,78%	12,13%	-3,14%	-7,07%	4,20%	5,75%	6,91%	7,57%	7,45%
Finance Income			1.092	799	558	878	1.061	1.367	1.057	1.222	1.542	1.618	1.672	1.711
Finance Cost			(4.240)	(4.520)	(4.365)	(4.033)	(4.652)	(5.208)	(5.477)	(5.494)	(5.691)	(5.873)	(6.049)	(6.154)
Other Profit and loss			(1.338)	(1.009)	(78)	(87)	1	3	3	3	3	3	3	3
Earnings Before Tax	0,65%	7,05%	37.908	38.775	43.678	36.339	40.794	39.153	35.535	37.360	39.874	42.809	46.248	49.954
Income Tax			(10.316)	(9.212)	(9.730)	(8.659)	(8.586)	(8.410)	(7.556)	(7.985)	(8.500)	(9.137)	(9.865)	(10.656)
Net Income	2,19%	7,03%	27.592	29.563	33.948	27.680	32.208	30.743	27.979	29.376	31.374	33.672	36.383	39.298
Margin			20,35%	21,66%	23,71%	18,79%	21,58%	20,50%	18,85%	19,35%	19,79%	20,08%	20,69%	21,53%
Growth				7,14%	14,83%	-18,46%	16,36%	-4,55%	-8,99%	4,99%	6,80%	7,32%	8,05%	8,01%
EBITDA	1,10%	6,22%		72.397	79.379	72.836	77.047	75.634	75.093	79.076	83.568	88.945	95.292	101.526
Margin					55,43%	49,45%	51,63%	50,43%	50,60%	52,10%	52,71%	53,03%	54,19%	55,62%
Growth						-8,24%	5,78%	-1,83%	-0,72%	5,30%	5,68%	6,43%	7,14%	6,54%

C.2 Balance Sheet

Source: Company Data, Team Estimate

Balance Sheets

	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Assets												
Current Assets												
Scenario Running : Base Case Scenario	**Historical CAGR**	**Forecasted CAGR**										
Cash And Cash Equivalent	18.242	20.589	38.311	31.947	29.007	33.905	30.804	48.124	51.404	53.045	54.918	55.555
Receivables	12.089	11.553	8.705	8.634	10.667	12.193	14.410	14.157	14.503	15.491	16.163	16.819
Contract Assets	-	1.036	2.330	2.457	2.704	2.449	2.946	2.694	2.856	3.016	3.235	3.292
Inventories	585	983	779	1.144	997	1.096	1.088	1.105	1.159	1.225	1.283	1.333
Deffered Tax	2.569	3.170	2.144	-	-	-	-	-	-	-	-	-
Other Current Assets	8.237	9.172	9.008	10.875	12.238	13.437	12.729	17.218	18.394	20.347	21.571	22.011
Total Current Assets	8,62%	9,82%	**41.722**	**46.503**	**61.277**	**55.057**	**55.613**	**63.080**	**61.978**	**83.297**	**88.316**	**93.126**	**97.170**	**99.010**
Non Current Assets												
Scenario Running : Base Case Scenario	**Historical CAGR**	**Forecasted CAGR**										
Fixed Assets	156.973	160.923	165.026	173.329	180.755	180.566	186.749	193.238	200.012	207.761	217.040	226.485
Right Of Use	-	18.566	18.469	20.336	22.584	26.910	27.609	31.476	31.908	32.595	33.144	33.446
Intangible Assets	6.446	6.846	7.506	8.302	8.731	9.442	11.762	13.930	15.053	16.066	16.903	18.375
Deffered Tax Assets	2.898	3.578	3.824	4.117	4.170	3.409	3.783	3.973	4.149	4.374	4.531	4.636
Other Non Current Assets	13.169	10.527	21.082	14.051	15.189	16.268	14.954	15.529	15.555	15.135	15.134	14.992
Total Non Current Aseets	5,68%	4,00%	**179.486**	**200.440**	**215.907**	**220.135**	**231.429**	**236.595**	**244.857**	**258.145**	**266.676**	**275.931**	**286.753**	**297.934**
Total Assets	6,26%	5,28%	**221.208**	**246.943**	**277.184**	**275.192**	**287.042**	**299.675**	**306.834**	**341.441**	**354.992**	**369.057**	**383.923**	**396.943**
Liabilities												
Current Liabilities												
Scenario Running : Base Case Scenario	**Historical CAGR**	**Forecasted CAGR**										
Payables	14.346	17.577	17.779	18.920	19.049	15.790	16.010	16.260	16.906	17.811	18.485	18.915
Tax Payable	3.431	2.713	3.923	5.372	4.525	3.293	3.991	4.121	4.497	4.785	4.784	4.871
Accrude Expense	13.736	14.265	15.885	15.445	13.079	14.192	15.687	15.880	16.334	16.736	17.273	17.956
Customer Deposit	1.289	2.024	2.416	2.382	2.566	2.872	2.544	4.102	4.327	4.456	4.639	4.679
Short Term Bank Loans	8.705	9.934	6.682	8.191	9.650	11.525	12.148	13.183	14.563	16.244	17.911	19.505
Long Term Bank Loans Current Maturities	8.746	9.350	9.690	8.858	10.276	15.866	15.728	15.151	15.900	16.310	17.040	17.672
Lease Liabilites Current Portion	764	5.396	5.961	4.925	5.575	5.491	6.055	6.123	6.204	6.688	6.952	7.167
Other Current Liabilities	7.352	7.834	6.795	6.295	6.848	7.738	7.091	7.427	7.817	8.064	8.093	8.401
Total Current Liabilities	5,63%	4,58%	**58.369**	**69.093**	**69.131**	**70.388**	**71.568**	**76.767**	**79.254**	**82.248**	**86.548**	**91.094**	**95.177**	**99.165**
Non Current Liabilities												
Scenario Running : Base Case Scenario	**Historical CAGR**	**Forecasted CAGR**										
Deffered Tax Liabilities	1.230	561	1.158	1.023	841	992	932	1.019	1.021	1.063	1.139	1.177
Long Term Unearned Revenue	803	-	-	-	-	-	-	-	-	-	-	-
Other Long Term Debt	32.293	30.561	36.319	27.331	27.773	25.518	27.851	26.877	28.141	28.833	30.066	29.932
Lease Liabilities	1.576	10.221	10.426	13.736	14.850	18.468	17.657	18.127	19.048	19.940	20.880	21.631
Other Non Current Liabilities	9.687	15.618	14.751	13.452	15.448	15.440	15.193	15.520	15.943	16.674	17.558	17.621
Total Non Current Liabilities	5,79%	2,68%	**45.589**	**56.961**	**62.654**	**55.542**	**58.912**	**60.418**	**61.634**	**61.543**	**64.152**	**66.510**	**69.642**	**70.361**
Equity												
Scenario Running : Base Case Scenario	**Historical CAGR**	**Forecasted CAGR**										
Capital Stock	4.953	4.953	4.953	4.953	4.963	4.953	4.953	4.953	4.953	4.953	4.953	4.953
Additional Paid In Capital	2.711	2.711	2.711	2.711	2.711	2.310	2.310	3.871	3.871	3.871	3.871	3.871
Retained Earnings	91.489	94.489	104.587	111.897	118.441	124.933	130.529	136.404	142.679	149.413	156.690	164.549
Other Equtiy	408	374	9.395	9.697	9.629	9.898	10.282	12.049	12.417	12.842	13.217	13.670
Non Controlling Interest	17.689	18.362	23.753	20.004	20.818	20.396	17.873	40.373	40.373	40.373	40.373	40.373
Total Equity	6,74%	6,51%	**117.250**	**120.889**	**145.399**	**149.262**	**156.562**	**162.490**	**165.947**	**197.650**	**204.292**	**211.452**	**219.104**	**227.417**
Total Equity And Liabilities	6,26%	5,28%	**221.208**	**246.943**	**277.184**	**275.192**	**287.042**	**299.675**	**306.834**	**341.441**	**354.992**	**369.057**	**383.923**	**396.943**

C.3 Cash Flow Statement

Source: Company Data, Team Estimate

Indirect Cashflow Statement

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Operating Activities											
(+) Net Income	29.563	33.948	27.680	32.208	30.743	27.979	29.376	31.374	33.672	36.383	39.298
(-) Depreciation and Amortisation	17.828	23.092	21.627	15.892	12.944	18.088	20.211	22.138	24.228	24.999	27.263
(-) Change in Current Assets Exclude Cash	2.434	(2.948)	144	3.496	2.569	1.999	3.999	1.739	3.169	2.172	1.202
(+) Change In Current Laibilities	10.724	38	1.257	1.180	5.199	2.487	2.994	4.299	4.546	4.083	3.989
Change IN NWC	(8.290)	(2.986)	(1.113)	2.316	(2.630)	(488)	1.005	(2.561)	(1.378)	(1.910)	(2.786)
Cash From Operating Activities	**55.681**	**60.026**	**50.420**	**45.784**	**46.317**	**46.555**	**48.582**	**56.073**	**59.277**	**63.293**	**69.348**
	85%	87%	80%	67%	60%	59%	61%	67%	67%	68%	72%
Investing Activities											
(-) CAPEX	(40.744)	(27.758)	(32.593)	(25.995)	(17.792)	(27.290)	(32.735)	(30.467)	(33.677)	(35.665)	(38.480)
(-) Change In NCA	1.962	(10.801)	6.738	(1.191)	(318)	940	(764)	(202)	195	(156)	37
Cash From Investing Activities	**(38.782)**	**(38.559)**	**(25.855)**	**(27.186)**	**(18.110)**	**(26.350)**	**(33.499)**	**(30.670)**	**(33.482)**	**(35.821)**	**(38.444)**

C.3 Cash Flow Statement

Financing Activities											
(-) Dividend Payment	(26.563)	(23.850)	(20.370)	(25.664)	(24.251)	(22.383)	(23.501)	(25.099)	(26.937)	(29.106)	(31.439)
(-) Change In NCL	11.372	5.693	(7.112)	3.370	1.506	1.216	(90)	2.609	2.358	3.132	719
(-) Change in Equity	1.312	19.803	(7.196)	1.570	(986)	(4.662)	48.327	368	426	375	453
(-) Change in NCI	(673)	(5.391)	3.749	(814)	422	2.523	(22.500)	-	-	-	-
Cash From Financing Activities	**(14.552)**	**(3.745)**	**(30.929)**	**(21.538)**	**(23.309)**	**(23.306)**	**2.237**	**(22.122)**	**(24.154)**	**(25.599)**	**(30.266)**
Beginning Cash Balance	**18.242**	**20.589**	**38.311**	**31.947**	**29.007**	**33.905**	**30.804**	**48.124**	**51.404**	**53.045**	**54.918**
Change In Cash	**2.347**	**17.722**	**(6.364)**	**(2.940)**	**4.898**	**(3.101)**	**17.319**	**3.281**	**1.641**	**1.872**	**637**
Ending Cash Balance	**20.589**	**38.311**	**31.947**	**29.007**	**33.905**	**30.804**	**48.124**	**51.404**	**53.045**	**54.918**	**55.555**

C.4 Key Forecast Drivers

Source: Company Data, Team Estimate, Statista

Revenue Driver

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
ARPU (Monthly)												
							0,3670%					
Mobile	42.810	41.150	39.904	45.436	44.618	43.601	43.514	44.853	46.804	49.870	52.504	54.427
Growth		**-3,88%**	**-3,03%**	**13,86%**	**-1,80%**	**-2,28%**	**-0,20%**	**3,08%**	**4,35%**	**6,55%**	**5,28%**	**3,66%**
Consumer	171.734	218.261	241.522	238.358	218.119	203.009	184.738	181.044	177.423	175.649	173.892	170.414
Growth		**27,09%**	**10,66%**	**-1,31%**	**-8,49%**	**-6,93%**	**-9,00%**	**-2,00%**	**-2,00%**	**-1,00%**	**-1,00%**	**-2,00%**
Number of Users												-1,60%
Mobile	171,1	169,542	175,977	156,8	159,3	159,400	158,811	159,43	160,18	160,60	161,15	161,69
Growth		**(0,91%)**	**3,80%**	**(10,90%)**	**1,59%**	**0,06%**	**(0,37%)**	**0,39%**	**0,47%**	**0,26%**	**0,34%**	**0,34%**
Consumer	8,60	8,02	8,60	9,21	10,10	10,80	10,80	10,30	10,65	10,96	11,09	11,06
Growth		**(6,79%)**	**7,3%**	**7,1%**	**9,6%**	**6,9%**	**0,0%**	**(4,69%)**	**3,4%**	**2,9%**	**1,1%**	**(0,24%)**
Other Assumptions												
Other Segment	631	518	631	871	1.070	1.673	1.716	1.751	1.795	1.840	1.887	1.934
Growth		**-17,91%**	**21,81%**	**38,03%**	**22,85%**	**56,36%**	**2,59%**	**2,03%**	**2,52%**	**2,51%**	**2,51%**	**2,51%**
MTEL Revenue	5.326	6.187	6.870	7.729	8.684	9.308	9.569	9.939	10.489	11.010	11.538	12.119
Growth		**16,15%**	**11,04%**	**12,51%**	**12,35%**	**7,19%**	**2,80%**	**3,87%**	**5,54%**	**4,97%**	**4,79%**	**5,04%**
WIB and Enterrpise Revenue	5.286	7.319	7.381	7.715	8.238	8.692	9.057	10.081	11.142	12.494	13.906	15.804
Growth		**38,47%**	**0,85%**	**4,52%**	**6,78%**	**5,51%**	**4,20%**	**11,30%**	**10,53%**	**12,14%**	**11,30%**	**13,65%**

Mobile Drivers

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
ARPU (Monthly)	42.810	41.150	39.904	45.436	44.618	43.601	43.514	44.853	46.804	49.870	52.504	54.427
ARPU (Yearly)	513.717	493.801	478.852	545.236	535.411	523.212	522.167	538.231	561.648	598.442	630.049	653.128
Growth		**-3,88%**	**-3,03%**	**13,86%**	**-1,80%**	**-2,28%**	**-0,20%**	**3,08%**	**4,35%**	**6,55%**	**5,28%**	**3,66%**
						24,9%			0,146369122			0,170710556
Payload (PenntaByte)	6.558	9.428	13.513	16.042	17.481	19.909	24.349	27.731	31.999	38.043	45.229	53.546
Growth		**43,76%**	**43,33%**	**18,72%**	**8,97%**	**13,89%**	**22,30%**	**13,89%**	**15,39%**	**18,89%**	**18,89%**	**18,39%**
Payload GB	6.558.000.000	9.428.000.000	13.513.000.000	16.042.000.000	17.481.000.000	19.909.000.000	24.349.116.538	27.731.054.353	31.998.687.692	38.043.036.796	45.229.125.101	53.546.474.272
Average Data Usage per Customer (GB)	38,33	55,61	76,79	102,31	109,74	124,90	153,32	173,94	199,77	236,88	280,67	331,16
Average Price/GB	13.403	8.880	6.236	5.329	4.879	4.189	3.406	3.094	2.811	2.526	2.245	1.972
Growth		**-33,75%**	**-29,77%**	**-14,54%**	**-8,45%**	**-14,14%**	**-18,70%**	**-9,14%**	**-9,14%**	**-10,14%**	**-11,14%**	**-12,14%**
Number of Customer	171.100.000	169.542.000	175.977.000	156.800.000	159.300.000	159.400.000	158.811.000	159.428.891	160.176.623	160.598.061	161.148.532	161.694.548
Growth		**-0,91%**	**3,80%**	**-10,90%**	**1,59%**	**0,06%**	**-0,37%**	**0,39%**	**0,47%**	**0,26%**	**0,34%**	**0,34%**
Payload First Half	2.961	4.156	6.419	7.794	8.524	9.525	11.441	13.115	15.305	18.216	21.604	25.488
Percentage	**45,15%**	**44,08%**	**47,50%**	**48,58%**	**48,76%**	**47,84%**	**46,99%**	**47,29%**	**47,83%**	**47,88%**	**47,77%**	**47,60%**
Payload Second Half	3.597	5.272	7.094	8.248	8.957	10.384	12.908	14.616	16.694	19.827	23.625	28.058
Percentage	**54,85%**	**55,92%**	**52,50%**	**51,42%**	**51,24%**	**52,16%**	**53,01%**	**52,71%**	**52,17%**	**52,12%**	**52,23%**	**52,40%**

Consumer Driver

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
ARPU (Yearly)	**2.060.814**	**2.619.137**	**2.898.268**	**2.860.291**	**2.617.426**	**2.436.111**	**2.216.861**	**2.172.524**	**2.129.073**	**2.107.783**	**2.086.705**	**2.044.971**
	171.734	**218.261**	**241.522**	**238.358**	**218.119**	**203.009**	**184.738**	**181.044**	**177.423**	**175.649**	**173.892**	**170.414**
Number of Home Passed By the Fiber	26.600.000	30.100.000	35.680.000	37.000.000	38.000.000	39.000.000	40.040.185	41.100.994	42.193.561	43.313.296	44.247.142	45.090.013
Growth		**13,16%**	**18,54%**	**3,70%**	**2,70%**	**2,63%**	**2,67%**	**2,65%**	**2,66%**	**2,65%**	**2,16%**	**1,90%**
Number of Customer	8.600.000	8.016.000	8.601.000	9.212.000	10.100.000	10.800.000	10.803.300	10.296.262	10.649.724	10.962.049	11.085.987	11.059.306
Penetration Rate	**32,33%**	**26,63%**	**24,11%**	**24,90%**	**26,58%**	**27,69%**	**26,98%**	**25,05%**	**25,24%**	**25,31%**	**25,05%**	**24,53%**
Number of Customer Growth		**-6,79%**	**7,30%**	**7,10%**	**9,64%**	**6,93%**	**0,03%**	**-4,69%**	**3,43%**	**2,93%**	**1,13%**	**-0,24%**

WIB

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Data Center Capacity					42	44	46	48	50	52	54	56
Data Center Utilization Rate					**70%**	**78%**	**76%**	**78%**	**79%**	**81%**	**82%**	**84%**
Utilized Data Center Output	-	-	-	-	**29**	**34**	**35**	**37**	**40**	**42**	**44**	**47**
Capacity Base Year							46	46	46	46	46	46
Additional Capacity								2	2	2	2	2
Revenue from Additional Capacity compared to Base Year							-	2	4	6	8	10
Revenue From Data Center			**1.700**	**1.600**	**1.900**	**2.300**	**2.499**	**2.842**	**3.209**	**3.608**	**3.988**	**4.366**
Revenue/Output					64,63	67,02	71,49	76,40	81,24	86,20	90,06	93,38
Revenue from additional capacity compared to base year								153	325	517	720	934
Revenue From Additional Capacity								153	162	172	180	187
	3,93%	4,53%	4,80%	5,25%	5,82%	6,21%						
Mitratel Revenue	**5.326**	**6.187**	**6.870**	**7.729**	**8.684**	**9.308**	**9.569**	**9.939**	**10.489**	**11.010**	**11.538**	**12.119**
Number of Towers			28.206	35.418	38.014	39.404	40.980	42.619	44.750	46.988	49.337	51.804
Growth				**25,57%**	**7,33%**	**3,66%**	**4,00%**	**4,00%**	**5,00%**	**5,00%**	**5,00%**	**5,00%**
Tenancy Ratio			1,51x	1,47x	1,51x	1,52x	1,52x	1,52x	1,62x	1,72x	1,82x	1,92x
Number Of Leasor			42.591	52.064	57.401	59.894	61.573	63.956	67.496	70.851	74.243	77.986
Average Lease Revenue			161,29	148,45	151,28	155,40	155	155	155	155	155	155
Revenue from Fiber Optik Spin Off								**515**	**1.040**	**1.820**	**2.675**	**4.012**
WIB Revenue Outside of Tower and DC			**5.681**	**6.115**	**6.338**	**6.392**	**6.558**	**6.724**	**6.893**	**7.066**	**7.243**	**7.425**
WIB Revenue Outside of Tower and DC +Spin Off			**5.681**	**6.115**	**6.338**	**6.392**	**6.558**	**7.239**	**7.933**	**8.886**	**9.918**	**11.438**
Other Segments Revenue	**631**	**518**	**631**	**871**	**1.070**	**1.673**	**1.716**	**1.751**	**1.795**	**1.840**	**1.887**	**1.934**

Enterprise Driver

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Revenue From Enterprise	18.704	17.723	19.133	19.149	19.497	20.584	21.202	21.838	22.493	23.167	23.862	24.464
Growth		**-5,24%**	**7,96%**	**0,08%**	**1,82%**	**5,58%**	**3,00%**	**3,00%**	**3,00%**	**3,00%**	**3,00%**	**2,52%**

Operational and Meintenance

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Operational and Meintenance	19.930	21.467	22.746	23.057	24.365	24.052	24.175	25.442	27.087	27.613	27.761
Net Fixed Assets	156.973	160.923	165.026	173.329	180.755	180.566	186.749	193.238	200.012	207.761	217.040
Percentage to Net Fixed Assets	**12,70%**	**13,34%**	**13,78%**	**13,30%**	**13,48%**	**13,32%**	**12,95%**	**13,17%**	**13,54%**	**13,29%**	**12,79%**

Use of Frequency Radio

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Use of Frequency Radio	5.930	6.097	6.510	7.412	7.687	7.886	8.086	8.289	8.415	8.542	8.671
Inflation						**2,59%**	**2,53%**	**2,52%**	**1,51%**	**1,51%**	**1,52%**

Circuit lease and CPE

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Circuit lease and CPE	3.371	5.003	3.530	3.462	3.422	3.511	3.599	3.690	3.783	3.878	3.975
Infaltion						**2,59%**	**2,53%**	**2,52%**	**2,51%**	**2,51%**	**2,52%**

C.4 Key Forecast Drivers

License and KPU fees

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
License and KPU fees	2.411	2.472	2.601	2.836	2.933	3.009	3.085	3.163	3.211	3.259	3.309
Inflation						**2,59%**	**2,53%**	**2,52%**	**1,51%**	**1,51%**	**1,52%**

Electricity, gas, and Water

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Electricity, gas, and Water	946	898	904	877	1.097	1.125	1.154	1.183	1.201	1.219	1.237
Inflation						**2,59%**	**2,53%**	**2,52%**	**1,51%**	**1,51%**	**1,52%**

Sim Card COGS

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Sim Card COGS	544	739	747	797	584	597	614	633	644	656	668
Increase in Number of Users	**-1%**	**4%**	**-11%**	**2%**	**0%**	**-0,37%**	**0,39%**	**0,47%**	**0,26%**	**0,34%**	**0,34%**
Inflation						**2,59%**	**2,53%**	**2,52%**	**1,51%**	**1,51%**	**1,52%**

Project Management

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Project Management	538	519	400	489	427	487	402	389	403	392	329
Perncentage To Revenue	**0,39%**	**0,36%**	**0,27%**	**0,33%**	**0,28%**	**0,33%**	**0,26%**	**0,25%**	**0,24%**	**0,22%**	**0,18%**

Assurence

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Assurence	378	432	343	269	308	363	209	321	159	136	94
Percentage to Revenue	**0,28%**	**0,32%**	**0,24%**	**0,18%**	**0,21%**	**0,24%**	**0,14%**	**0,20%**	**0,09%**	**0,08%**	**0,05%**

Vehicle Lease and other Facilities

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Vehicle Lease and other Facilities	343	305	230	308	271	271	271	271	271	271	271
Percentage to Revenue						**0,00%**	**0,00%**	**0,00%**	**0,00%**	**0,00%**	**0,00%**

Other Expenses

Scenario Running : Base Case Scenario	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Other Expenses	202	201	173	211	108	184	181	182	192	191	102
Percentage to Revenue	**0,15%**	**0,14%**	**0,12%**	**0,14%**	**0,07%**	**0,12%**	**0,12%**	**0,11%**	**0,11%**	**0,11%**	**0,06%**

Balance Sheets Assumptions

Scenario Running : Base Case Scenario	2019H	2020H	2021H	2022H	2023H	2024H	2025E	2026F	2027F	2028F	2029F	2030F
Account Receivables												
Related Parties												
BUMN	1.604	1.564	1.336	1.985	1.875	1.935	2.423	2.275	2.411	2.528	2.655	2.760
Indosat	150	225	148	175	303	738	635	726	699	770	789	830
PT.Indonusa telemedia	494	504	439	385	386	386	492	458	487	510	536	557
Other Receivables	751	621	371	156	443	409	545	497	535	556	587	609
Impaitment	(915)	(1.056)	(1.138)	(1.081)	(1.089)	(1.118)	(1.404)	(1.316)	(1.396)	(1.463)	(1.537)	(1.598)
Account Receivables	**2.084**	**1.858**	**1.156**	**1.620**	**1.918**	**2.350**	**2.691**	**2.639**	**2.736**	**2.901**	**3.030**	**3.158**
Third Parties												
							11.720	11.518	11.767	12.590	13.134	13.661
Individual and Business Customer	13.710	15.095	13.323	12.517	11.680	13.613	15.927	15.791	16.062	17.224	17.947	18.678
Foreign Provider	1.583	1.904	890	984	1.541	1.176	1.732	1.539	1.656	1.727	1.825	1.886
Impairment	(5.288)	(7.304)	(6.664)	(6.487)	(4.472)	(4.946)	(5.940)	(5.812)	(5.951)	(6.361)	(6.639)	(6.903)
Account Receivables	**10.005**	**9.695**	**7.549**	**7.014**	**8.749**	**9.843**	**11.720**	**11.518**	**11.767**	**12.590**	**13.134**	**13.661**
Total Account Receivables	**12.089**	**11.553**	**8.705**	**8.634**	**10.667**	**12.193**	**14.410**	**14.157**	**14.503**	**15.491**	**16.163**	**16.819**
Receivables Turnover	**11,21x**	**11,81x**	**16,45x**	**17,06x**	**13,99x**	**12,3x**	**10,3x**	**10,72x**	**10,93x**	**10,83x**	**10,88x**	**10,85x**
Related Parties Portion	17,24%	16,08%	13,28%	18,76%	17,98%	19,27%	18,67%	18,64%	18,86%	18,73%	18,74%	18,78%
Third Parties Portion	82,76%	83,92%	86,72%	81,24%	82,02%	80,73%	81,33%	81,36%	81,14%	81,27%	81,26%	81,22%
BUMN Portion	76,97%	84,18%	115,57%	122,53%	97,76%	82,34%	90,05%	86,19%	88,12%	87,16%	87,64%	87,40%
Indosat Portion	7,20%	12,11%	12,80%	10,80%	15,80%	31,40%	23,60%	27,50%	25,55%	26,53%	26,04%	26,28%
Indonusa Portion	23,70%	27,13%	37,98%	23,77%	20,13%	16,43%	18,28%	17,35%	17,81%	17,58%	17,70%	17,64%
Other Portion	36,04%	33,42%	32,09%	9,63%	23,10%	17,40%	20,25%	18,83%	19,54%	19,18%	19,36%	19,27%
Individual and Business Poertion	137,03%	155,70%	176,49%	178,46%	133,50%	138,30%	135,90%	137,10%	136,50%	136,80%	136,65%	136,73%
Foreign Provider Portion	15,82%	19,64%	11,79%	14,03%	17,61%	11,95%	14,78%	13,36%	14,07%	13,72%	13,90%	13,81%
Impairment Related Parties	-43,91%	-56,84%	-98,44%	-66,73%	-56,78%	-47,57%	-52,18%	-49,88%	-51,03%	-50,45%	-50,74%	-50,59%
Impairment Third Parties	-52,85%	-75,34%	-88,28%	-92,49%	-51,11%	-50,25%	-50,68%	-50,47%	-50,57%	-50,52%	-50,55%	-50,53%
Contract Assets	**0**	**1.036**	**2.330**	**2.457**	**2.704**	**2.449**	**2.946**	**2.694**	**2.856**	**3.016**	**3.235**	**3.292**
Percentage to Revenue	**0,00%**	**0,76%**	**1,63%**	**1,67%**	**1,81%**	**1,63%**	**1,99%**	**1,77%**	**1,80%**	**1,80%**	**1,84%**	**1,80%**
Inventories												
Sim Card	154	265	148	321	791	676	671	682	715	756	792	822
Components	351	560	578	588	29							
Other Inventories	172	226	122	294	231	480	477	484	507	537	562	584
Allowence for losses	(92)	(68)	(69)	(59)	(54)	(60)	(60)	(60)	(63)	(67)	(70)	(73)
Total Inventories	**585**	**983**	**779**	**1.144**	**997**	**1.096**	**1.088**	**1.105**	**1.159**	**1.225**	**1.283**	**1.333**
Inventories Turnover	**159,27x**	**94,56x**	**122,78x**	**94,17x**	**105,15x**	**97,61x**	**97,61x**	**97,61x**	**97,61x**	**97,61x**	**97,61x**	**97,61x**
Other Non Current asset	**13.169**	**10.527**	**21.082**	**14.051**	**15.189**	**16.268**	**14.954**	**15.529**	**15.555**	**15.135**	**15.134**	**14.992**
Portion	**7,34%**	**5,25%**	**9,76%**	**6,38%**	**6,56%**	**6,88%**	**6,11%**	**6,02%**	**5,83%**	**5,49%**	**5,28%**	**5,03%**
Other Current Assets	**8.237**	**9.172**	**9.008**	**10.875**	**12.238**	**13.437**	**12.729**	**17.218**	**18.394**	**20.347**	**21.571**	**22.011**
Portion to Current assets	**19,74%**	**19,72%**	**14,70%**	**19,75%**	**22,01%**	**21,30%**	**20,54%**	**20,67%**	**20,83%**	**21,85%**	**22,20%**	**22,23%**
Payables	14.346	17.577	17.779	18.920	19.049	15.790	16.010	16.260	16.906	17.811	18.485	18.915
Operating Expenses	(93.173)	(92.957)	(95.647)	(107.725)	(104.832)	(106.976)	(108.467)	(110.158)	(114.535)	(120.665)	(125.236)	(128.150)
Payables Turnover	**6,49x**	**5,29x**	**5,38x**	**5,69x**	**5,50x**	**6,77x**	**6,77x**	**6,77x**	**6,77x**	**6,77x**	**6,77x**	**6,77x**
Taxes Payable	**3.431**	**2.713**	**3.923**	**5.372**	**4.525**	**3.293**	**3.991**	**4.121**	**4.497**	**4.785**	**4.784**	**4.871**
Revenue	135.567	136.462	143.210	147.306	149.216	149.967	148.419	151.787	158.556	167.727	175.858	182.544
Taxes Payable to Revenue	**2,53%**	**1,99%**	**2,74%**	**3,65%**	**3,03%**	**2,20%**	**2,69%**	**2,72%**	**2,84%**	**2,85%**	**2,72%**	**2,67%**
Accrude Expense	**13.736**	**14.265**	**15.885**	**15.445**	**13.079**	**14.192**	**15.687**	**15.880**	**16.334**	**16.736**	**17.273**	**17.956**
Operating Expenses	(93.173)	(92.957)	(95.647)	(107.725)	(104.832)	(106.976)	(108.467)	(110.158)	(114.535)	(120.665)	(125.236)	(128.150)
Accrude Expense to Operating Expenses	**14,74%**	**15,35%**	**16,61%**	**14,34%**	**12,48%**	**13,27%**	**14,46%**	**14,42%**	**14,26%**	**13,87%**	**13,79%**	**14,01%**
Customer Deposits	**1.289**	**2.024**	**2.416**	**2.382**	**2.566**	**2.872**	**2.544**	**4.102**	**4.327**	**4.456**	**4.639**	**4.679**
Cash and Cash Equivalent	18.242	20.589	38.311	31.947	29.007	33.905	30.804	48.124	51.404	53.045	54.918	55.555
Customer Deposits to cash	**7,07%**	**9,83%**	**6,31%**	**7,46%**	**8,85%**	**8,47%**	**8,26%**	**8,52%**	**8,42%**	**8,40%**	**8,45%**	**8,42%**
Deffered Tax Liabilities	**1.230**	**561**	**1.158**	**1.023**	**841**	**992**	932	1.019	1.021	1.063	1.139	1.177
Revenue	135.567	136.462	143.210	147.306	149.216	149.967	148.419	151.787	158.556	167.727	175.858	182.544
Percentage to Non Current Liabilities	**0,91%**	**0,41%**	**0,81%**	**0,69%**	**0,56%**	**0,66%**	**0,63%**	**0,67%**	**0,64%**	**0,63%**	**0,65%**	**0,64%**
Other Non Current Liabilities	**9.687**	**15.618**	**14.751**	**13.452**	**15.448**	**15.440**	**15.193**	**15.520**	**15.943**	**16.674**	**17.558**	**17.621**
Non Current Liabilities	45.589	56.961	62.654	55.542	58.912	60.418	61.634	61.543	64.152	66.510	69.642	70.361
Portion	**21,25%**	**27,42%**	**23,54%**	**24,22%**	**26,22%**	**25,56%**	**24,65%**	**25,22%**	**24,85%**	**25,07%**	**25,21%**	**25,04%**
Other Current Liabilities	**7.352**	**7.834**	**6.795**	**6.295**	**6.848**	**7.738**	**7.091**	**7.427**	**7.817**	**8.064**	**8.093**	**8.401**
Current Liabilities	58.369	69.093	69.131	70.388	71.568	76.767	79.254	82.248	86.548	91.094	95.177	99.165
Portion	**12,60%**	**11,34%**	**9,83%**	**8,94%**	**9,57%**	**10,08%**	**8,95%**	**9,03%**	**9,03%**	**8,85%**	**8,50%**	**8,47%**
Other Equity	**408**	**374**	**9.395**	**9.697**	**9.629**	**9.898**	**10.282**	**12.049**	**12.417**	**12.842**	**13.217**	**13.670**
Total Equity	117.250	120.889	145.399	149.262	156.562	162.490	165.947	197.650	204.292	211.452	219.104	227.417
Portion	**0,35%**	**0,31%**	**6,46%**	**6,50%**	**6,15%**	**6,09%**	**6,20%**	**6,10%**	**6,08%**	**6,07%**	**6,03%**	**6,01%**

C.4 Key Forecast Drivers

Retained Earnings

Beginning Balance		91.489	94.489	104.587	111.897	118.441	124.933	130.529	136.404	142.679	149.413	156.690
(+) Net Income		29.563	33.948	27.680	32.208	30.743	27.979	29.376	31.374	33.672	36.383	39.298
(-) Dividend Payment		(26.563)	(23.850)	(20.370)	(25.664)	(24.251)	(22.383)	(23.501)	(25.099)	(26.937)	(29.106)	(31.439)
Ending Balance	**91.489**	**94.489**	**104.587**	**111.897**	**118.441**	**124.933**	**130.529**	**136.404**	**142.679**	**149.413**	**156.690**	**164.549**
Dividend Payout Ratio		**89,85%**	**70,25%**	**73,59%**	**79,68%**	**78,88%**	**80,00%**	**80,00%**	**80,00%**	**80,00%**	**80,00%**	**80,00%**
Dividend Per Shares		268	241	206	259	245	226	237	253	272	294	317
Dividend Yield							6,51%	6,84%	7,30%	7,84%	8,47%	9,15%
Deffered Tax Asset	**2.898**	**3.578**	**3.824**	**4.117**	**4.170**	**3.409**	**3.783**	**3.973**	**4.149**	**4.374**	**4.531**	**4.636**
Revenue	135.567	136.462	143.210	147.306	149.216	149.967	148.419	151.787	158.556	167.727	175.858	182.544
Portion	**2,14%**	**2,62%**	**2,67%**	**2,79%**	**2,79%**	**2,27%**	**2,55%**	**2,62%**	**2,62%**	**2,61%**	**2,58%**	**2,54%**
Intangible Assets												
Gross Intangible Assets	15.579	17.684	20.636	23.382	25.378	24.355	26.880	29.463	31.136	32.838	34.498	36.995
Accumulated Depreciation	(9.133)	(10.838)	(13.130)	(15.080)	(16.647)	(14.913)	(15.118)	(15.532)	(16.083)	(16.771)	(17.594)	(18.620)
Net Intangible Assets	**6.446**	**6.846**	**7.506**	**8.302**	**8.731**	**9.442**	**11.762**	**13.930**	**15.053**	**16.066**	**16.903**	**18.375**
CAPEX/Deduction		2.105	2.952	2.746	1.996	(1.023)	2.525	2.583	1.673	1.702	1.660	2.498
Amortisation Expense		(1.705)	(2.292)	(1.950)	(1.567)	1.734	(205)	(415)	(550)	(688)	(823)	(1.026)
CAPEX to Sales		**1,54%**	**2,06%**	**1,86%**	**1,34%**	**-0,68%**	**1,70%**	**1,70%**	**1,06%**	**1,01%**	**0,94%**	**1,37%**

Year	efull Life of Asse	Amortisation Schadule						
2024H	12		-	-	-			
2025E	12		205	205	205	205	205	205
2026F	12			210	210	210	210	210
2027F	12				136	136	136	136
2028F	12					138	138	138
2029F	12						135	135
2030F	12							203

Right of use

Right Of Use Beginning Balance		-	18.566	18.469	20.336	22.584	26.910	27.609	31.476	31.908	32.595	33.144
CAPEX/Deduction		23.015	5.009	7.218	7.408	9.825	6.611	10.431	7.463	8.232	8.634	8.945
Amortisation Expense		(4.449)	(5.106)	(5.351)	(5.160)	(5.499)	(5.912)	(6.564)	(7.031)	(7.545)	(8.085)	(8.644)
Ending Balance		**18.566**	**18.469**	**20.336**	**22.584**	**26.910**	**27.609**	**31.476**	**31.908**	**32.595**	**33.144**	**33.446**
CAPEX to Sales		**16,87%**	**3,50%**	**4,90%**	**4,96%**	**6,55%**	**4,45%**	**6,87%**	**4,71%**	**4,91%**	**4,91%**	**4,90%**

Year	efull Life of Asse	Amortisation Schadule						
2024H	16	5.499	5.499	5.499	5.499	5.499	5.499	5.499
2025E	16		413	413	413	413	413	413
2026F	16			652	652	652	652	652
2027F	16				466	466	466	466
2028F	16					515	515	515
2029F	16						540	540
2030F	16							559

Long Term Debt		**41.039**	**39.911**	**46.009**	**36.189**	**38.049**	**42.279**	**36.347**	**38.358**	**39.461**	**41.424**	**43.122**
Portion to Revnue		**25,50%**	**24,18%**	**26,54%**	**20,02%**	**21,07%**	**19,55%**	**18,81%**	**19,18%**	**18,99%**	**19,09%**	**19,04%**
Lease Liabilities	**2.340**	**15.617**	**16.387**	**18.661**	**20.425**	**23.959**	**23.712**	**24.250**	**25.252**	**26.629**	**27.832**	**28.798**
Portion to Revenue	**1,73%**	**11,44%**	**11,44%**	**12,67%**	**13,69%**	**15,98%**	**15,98%**	**15,98%**	**15,93%**	**15,88%**	**15,83%**	**15,78%**
Non Current Portion		**65,45%**	**63,62%**	**73,61%**	**72,71%**	**77,08%**	**74,46%**	**74,75%**	**75,43%**	**74,88%**	**75,02%**	**75,11%**
Current Portion		**34,55%**	**36,38%**	**26,39%**	**27,29%**	**22,92%**	**25,54%**	**25,25%**	**24,57%**	**25,12%**	**24,98%**	**24,89%**
Interest Income	**1.092**	**799**	**558**	**878**	**1.061**	**1.367**	**1.057**	**1.222**	**1.542**	**1.618**	**1.672**	**1.711**
Cash and Cash Equivalent	18.242	20.589	38.311	31.947	29.007	33.905	30.804	48.124	51.404	53.045	54.918	55.555
Interest rate	**5,99%**	**4,12%**	**1,89%**	**2,50%**	**3,48%**	**4,35%**	**3,27%**	**3,10%**	**3,10%**	**3,10%**	**3,10%**	**3,10%**
Current Bank Loans	**8.705**	**9.934**	**6.682**	**8.191**	**9.650**	**11.525**	**12.148**	**13.183**	**14.563**	**16.244**	**17.911**	**19.505**
Current Bank Loans To Revenue	**6,42%**	**7,28%**	**4,67%**	**5,56%**	**6,47%**	**7,69%**	**8,19%**	**8,69%**	**9,19%**	**9,69%**	**10,19%**	**10,69%**

C.5 Key Financial Ratios

Source: Company Data, Team Estimate

Profitability Ratio	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Operating Margin	31,88%	33,21%	26,87%	29,74%	28,67%	26,92%	27,43%	27,76%	28,06%	28,79%	29,80%
Net Profit Margin	21,66%	23,71%	18,79%	21,58%	20,50%	18,85%	19,35%	19,79%	20,08%	20,69%	21,53%
EBITDA Margin	53,05%	55,43%	49,45%	51,63%	50,43%	50,60%	52,10%	52,71%	53,03%	54,19%	55,62%
Return on Assets (ROA)		13,92%	10,39%	11,78%	10,78%	9,44%	9,37%	9,30%	9,54%	9,93%	10,36%
Return on Equity (ROE)		25,50%	18,79%	21,06%	19,27%	17,04%	16,16%	15,61%	16,20%	16,90%	17,60%
Liquidity Ratio											
Current Ratio	0,67x	0,89x	0,78x	0,78x	0,82x	0,78x	1,01x	1,02x	1,02x	1,02x	1,x
Quick Ratio (Acid-Test Ratio)	0,66x	0,88x	0,77x	0,76x	0,81x	0,77x	1,x	1,01x	1,01x	1,01x	0,98x
Cash Ratio	0,44x	0,63x	0,58x	0,52x	0,54x	0,5x	0,58x	0,58x	0,57x	0,57x	0,56x
NWC to total Assets	(0,14)x	(0,15)x	(0,12)x	(0,12)x	(0,11)x	(0,1)x	(0,08)x	(0,08)x	(0,07)x	(0,07)x	(0,07)x
Solvency Ratio											
Total Debt Ratio	0,56x	0,5x	0,46x	0,47x	0,47x	0,47x	0,44x	0,43x	0,44x	0,44x	0,44x
Debt to Equity Ratio	0,54x	0,48x	0,42x	0,44x	0,47x	0,48x	0,4x	0,41x	0,42x	0,42x	0,42x
Equity Multiplier	0,53x	0,56x	0,55x	0,57x	0,55x	0,56x	0,6x	0,59x	0,59x	0,59x	0,59x
Efficiency Ratio											
Receiveables Turnover	11,81x	16,45x	17,06x	13,99x	12,3x	10,3x	10,72x	10,93x	10,83x	10,88x	10,85x

C.6 Free Cash Flow

Source: Team Estimate

TSEL Free Cash Flow

Scenario Running : Base Case Scenario	2021H 31/12/21	2022H 31/12/22	2023H 31/12/23	2024H 31/12/24	2025E 31/12/25	2026F 31/12/26	2027F 31/12/27	2028F 31/12/28	2029F 31/12/29	2030F 31/12/30
EBIT	34.982	26.213	30.574	30.351	28.214	29.431	33.960	39.908	45.487	50.061
EBIT (1-TAX)	27.617	19.958	23.807	24.417	22.698	23.677	27.320	32.105	36.594	40.273
Depreciation	20.333	21.024	21.712	21.880	23.143	24.407	25.654	26.906	28.148	29.358
CAPEX	(17.730)	(23.638)	(26.261)	(26.902)	(26.331)	(25.267)	(24.951)	(25.038)	(24.830)	(24.213)
Change In NWC	3.469	(445)	2.952	707	(2.777)	(326)	1.070	968	19	(297)
Unlevered Free Cashflow	**33.689**	**16.899**	**22.210**	**20.102**	**16.732**	**22.491**	**29.093**	**34.941**	**39.930**	**45.121**
Terminal Value										**471.451**
Net Cashflow	**33.689**	**16.899**	**22.210**	**20.102**	**16.732**	**22.491**	**29.093**	**34.941**	**39.930**	**516.572**
WACC										**13,26%**
Terminal Grwoth Rate										**3,36%**

MTEL Free Cash Flow

Scenario Running : Base Case Scenario	2021H 31/12/21	2022H 31/12/22	2023H 31/12/23	2024H 31/12/24	2025E 31/12/25	2026F 31/12/26	2027F 31/12/27	2028F 31/12/28	2029F 31/12/29	2030F 31/12/30
EBIT	2.740	3.153	3.678	4.179	4.853	4.896	5.100	5.242	5.397	5.582
EBIT (1-TAX)	2.318	2.703	3.350	3.922	4.515	4.575	4.756	4.893	5.035	5.209
Depreciation	2.445	2.989	3.306	3.517	3.052	3.287	3.540	3.798	4.067	4.345
CAPEX	(15.862)	(14.316)	(7.975)	(4.110)	(4.232)	(4.242)	(4.399)	(4.498)	(4.602)	(4.709)
Change In NWC	(664)	4.379	(130)	881	149	448	617	554	581	628
Unlevered Free Cashflow	**(11.764)**	**(4.245)**	**(1.449)**	**4.210**	**3.484**	**4.068**	**4.514**	**4.748**	**5.080**	**5.473**
Terminal Value										**88.081**
Net Cashflow	**(11.764)**	**(4.245)**	**(1.449)**	**4.210**	**3.484**	**4.068**	**4.514**	**4.748**	**5.080**	**93.554**
WACC										**9,79%**
Terminal Grwoth Rate										**3,36%**

Free Cashflow Other Than MTEL and TSEL

Scenario Running : Base Case Scenario	2021H 31/12/21	2022H 31/12/22	2023H 31/12/23	2024H 31/12/24	2025E 31/12/25	2026F 31/12/26	2027F 31/12/27	2028F 31/12/28	2029F 31/12/29	2030F 31/12/30
EBIT	9.841	10.215	10.132	8.461	6.885	7.302	4.962	1.912	(262)	(1.249)
EBIT (1-TAX)	7.034	7.488	7.886	5.417	4.243	4.480	2.562	18	(1.805)	(2.691)
Depreciation	9.038	9.242	7.645	7.246	8.946	9.753	10.352	11.179	12.455	13.429
CAPEX	5.834	5.361	8.241	13.220	3.274	(3.226)	(1.117)	(4.141)	(6.233)	(9.558)
Change In NWC	181	(2.821)	(5.138)	1.042	3.117	(1.128)	873	(145)	1.311	2.455
Unlevered Free Cashflow	**22.087**	**19.271**	**18.634**	**26.926**	**19.580**	**9.880**	**12.670**	**6.912**	**5.729**	**3.635**
Terminal Value										**52.440**
Net Cashflow	**22.087**	**19.271**	**18.634**	**26.926**	**19.580**	**9.880**	**12.670**	**6.912**	**5.729**	**56.075**
WACC										**10,53%**
Terminal Grwoth Rate										**3,36%**

C.7 Cost of Capital and DCF

Source: Team Estimate

MTEL

Enterprise Vales	83.733
(-) Net Debt	19.927
Equity Value	**63.806**
TLKM Ownership	**71,87%**
Adjusted Equity Value	**45.857**

Others

Enterprise Vales	65.126
(-) Net Debt	(40.739)
Equity Value	**105.865**
TLKM Ownership	**100,00%**
Adjusted Equity Value	**105.865**

TSEL

Enterprise Vales	446.517
(-) Net Debt	52.149
Equity Value	**394.368**
TLKM Ownership	**69,90%**
Adjusted Equity Value	**275.663**

Price Calculation

MTEL	45.857
TSEL	275.663
Others	105.865
Total	**427.385**
Shares Outstanding	**99.062.216.600**
Price/Share	**4310**
Upside/Downside Potential	**24,21%**

Company	Telkomsel	MTEL	Others
Equity Weight	81.2%	70.6%	81.2%
Debt Weight	18.8%	29.4%	18.8%
Adjusted BETA	1.4	0.7	0.9
Risk Free Rate	6.7%	6.7%	6.7%
Equity Risk Premium	7.0%	7.0%	7.0%
ESG Risk Discount	-100	-	-100
Cost of Equity	15.2%	11.7%	11.7%
Tax Rate	19.6%	23.0%	21.4%
After Tax Cost of Debt	4.6%	5.1%	5.3%
WACC	**13.3%**	**9.7%**	**10.5%**

C.8 MSCI ESG Scoring

Source: Company Data, Team Estimates

ESG Pillar	Theme	Key Issue	Exposure Score	Management Score	KI Performance Score	Materiality Weight	Weighted KI Performance Score
Environment	Climate Change	Carbon Emissions	3	7	10	5.0%	0.50
Social	Human Capital	Labor Management	5	8	10	25.5%	2.55
	Product Liability	Privacy & Data Security	9	9	7	25.0%	1.75
Governance	Corporate Governance	Ownership and Control	-	8	8	7.0%	0.56
		Board	-	7	7	10.5%	0.74
		Pay	-	8	8	7.0%	0.56
		Accounting	-	9	9	10.0%	0.90
	Corporate Behavior	Business Ethics	-	9	9	5.0%	0.45
		Tax Transparency	-	8	8	5.0%	0.40
Total Score							**8.41**

C.9 Good Corporate Governance

Source: Company Data, Team Estimate

In evaluation of TLKM's Corporate Governance compliance, our team uses the framework provided by Indonesia Financial Service Authority (OJK). Score Guidance:

0: The company policy did not follow the criteria at all
1: The company policy did not follow the criteria
2: The company policy followed the criteria vaguely
3: The company policy followed the criteria
4: The company policy followed the criteria excellently

Criteria	Company Implementation	Score
A. Relationship of the Public Company with The Shareholders in Ensuring Shareholders Rights		
Principle 1: Improving the Value of General Meeting of Shareholders (GMS) Convention		
1.1 Public company has technical procedures for opened or closed voting that promote independence and shareholder's interest	Telkom already has technical procedures for voting set out in the procedures for the General Meeting of Shareholders.	3
1.2 All members of the Board of Directors and members of the Board of Commissioners attend the Annual GMS	All of the members of the Board of Directors and the Board of Commissioners attended the GMS.	4
1.3 Summary of GMS minutes is available on the public company's website by no less than 1 year	Telkom provided a Summary of Minutes of GMS at the Company's Website under Investor Relations.	4
Principle 2: Improving Public Company Communication Quality with Shareholders and Investors		
2.1 Public company has a communication policy with shareholders or investors	Telkom has a policy on communications with investor through Non-Deal Roadshow, One on One Meeting, Earnings Call, Public Expose, Conference, and Investor Summit.	4
2.2 Public company discloses its communication policy with shareholders or investors on its website	Telkom has made available materials of each Earnings Call, Conference and materials of presentation to investor at the Company's website to provide equality for Shareholders and Investor regarding the implementation of Communications with the Company.	3
B. Function and Role of the Board of Commissioners		
Principle 3: Strengthening the Membership and Composition of the Board of Commissioners		
3.1 Determination of the number of Board of Commissioners' members considers the conditions of the public company	Telkom has complied with the provision applicable to the Company as Public Company as set out in Article 20 of Regulation of Financial Services Authority No. 33/POJK.04/2014 that the number of members of the Board of Commissioners must be at least 2 (two) persons.	3
3.2 Determination of the composition of Board of Commissioners' members considers the variety of expertise, knowledge, and experiences required	At the Shareholders' discretion, members of the Board of Commissioners have been appointed by taking into account a variety of skills, knowledge, experiences and Telkom's business conditions, and complexity.	3
Principle 4: Improving the Quality of the Implementation of Duties and Responsibilities of the Board of Commissioners		
4.1 Board of Commissioners has a self-assessment policy to assess the performance of the Board of Commissioners	Based on the Joint Regulation of the Board of Commissioners and Directors No. 05/KEP/DK/2022 and No. PD.620.00/r.01/HK200/COP-M4000000/2022 regarding Guidelines for the Work Procedures of the Board of Commissioners and Directors (Board Manual) Limited Liability Company (Persero) PT Telekomunikasi Indonesia Tbk, there is a policy to assess the performance of Company's Board of Commissioners carried out by Series A Dwiwarna shareholders through the General Meeting of Shareholders mechanism.	3
4.2 Self-assessment policy to assess the performance of the Board of Commissioners is disclosed in the Annual Report of the public company	Based on the Joint Regulation of the Board of Commissioners and Directors No. 05/KEP/DK/2022 and No. PD.620.00/r.01/HK200/COP-M4000000/2022 regarding Guidelines for the Work Procedures of the Board of Commissioners and Directors (Board Manual) Limited Liability Company (Persero) PT Telekomunikasi Indonesia Tbk, there is a policy for self-assessment which is disclosed in the Annual Report.	4
4.3 Board of Commissioners has a policy with respect to the resignation of members of the Board of Commissioners if such members are involved in financial crimes	In accordance with Telkom's Articles of Association, jo. Regulation of Financial Services Authority No. 33/POJK.04/2014 regarding the Board of Directors and Board of Commissioners of Issuers or Public Companies, any member of the Board of Commissioners who does not meet any requirements to be a member of the Board of Commissioners as set out in the Articles of Association and Regulation of Financial Services Authority No. 33/POJK.04/2014 including any involvement in any financial crimes, consequently his/her position will be null and void. In the event that the members of the Board of Commissioners resign, it will be resolved at the GMS.	4
4.4 Board of Commissioners or a committee that conducts nomination and remuneration functions arranges succession policies in the nomination process for members of the Board of Directors	The Nomination and Remuneration Committee in the Nomination and Remuneration Committee Charter states that one of its duties is to provide recommendations to the Board of Commissioners to be submitted to the Series A Dwiwarna Shareholders, one of which is regarding Succession Planning for Members of the Board of Directors. In addition, as a SOE, the provision of succession of the Board of Directors refers to Regulation of Minister of SOE No. PER-03/MBU/02/2015 on the requirements, and procedures for the appointment and dismissal of a member of the Board of Directors of SOE.	3
C. Function and Role of the Board of Directors		
Principle 5: Strengthening the Membership and Composition of the Board of Directors		
5.1 Determination of the number of Board of Directors' members considers the condition of the public company and the effectiveness of decision-making	Determination of the number of Directors of the Company refers to Article 2 paragraph (1) and paragraph (2) of Financial Service Authority Regulation No. 33/POJK.04/2014 regarding the Board of Directors and Board of Commissioners of Issuers or Public Companies which stipulates that the number of members of the Board of Directors consists of at least 2 (two) members of the Board of Directors, of which 1 (one) is appointed as President Director.	3
5.2 Determination of Board of Directors' members considers the variety of expertise, knowledge, and experiences required	At the shareholders' discretion, members of the Board of Directors of the Company have been appointed by taking into account a variety of skills, knowledge, experiences, and the Company's conditions and business complexity.	4
5.3 Members of the Board of Directors who are liable for accounting or finance have accounting expertise and/or knowledge	The members of the Board of Directors in charge of accounting and finance in the Company is the Finance Director & Risk Management who has sufficient accounting and financial knowledge and experience as can be seen in the position and education history of the Board of Directors under the section of Profiles of the Board of Directors.	4
Principle 6: Improving the Quality of the Implementation of Duties and Responsibilities of the Board of Directors		
6.1 Board of Directors has a self-assessment policy to assess the performance of directors	The Board of Directors has a policy that regulates performance evaluation, process and indicators for assessing the performance of the Board of Directors individually and collegially, this is stated in the Board of Directors Performance Assessment section in the Joint Regulations of the Board of Commissioners and Directors No.05/KEP/DK/2022 and No. PD.620.00 /r.01/HK200/COP-M4000000/2022 regarding Guidelines for the Work Procedures of the Board of Commissioners and Directors (Board Manual) of the Company (Persero) PT Telekomunikasi Indonesia Tbk.	3
6.2 Self-assessment policy to assess the performance of the Board of Directors is disclosed in the Annual Report of the public company	Results of the self-assessment of the Board of Directors are reported in the Company's Annual Report under the section of Corporate Governance.	4
6.3 Board of Directors has a policy related to the resignation of Board of Directors members involved in financial crimes	Based on Telkom's Articles of Association and Financial Service Authority Regulation No. 33/POJK.04/2014 regarding the Board of Directors and Board of Commissioners of Issuers or Public Companies, any member of the Board of Directors who does not meet the requirements to become a member of the Board of Directors and who is involved in a financial crime, his position as Director will be null and void. In the event that the member of the Board of Directors resigns, it will be decided through the GMS mechanism.	4
D. Participation of Stakeholders		
Principle 7: Improving the Corporate Governance Aspect through Stakeholders Participation		
7.1 Public company has a policy to prevent insider trading	Based on Regulation of the Director of Human Capital Management No. PR 209.05/r.01/ K250/COP-A4000000/2020 regarding Employee Discipline, the policy to prevent Insider Trading practice is contained in Article 5 regarding prohibitions for each employee include abuse of authority or position and unauthorized use of company information.	3
7.2 Public company has an anti-corruption and anti-fraud policy	Telkom is always committed to supporting the implementation of anti-corruption and anti-corruption in the corporate environment by developing programs and procedures as outlined in internal policies, namely the Integrity Pact, Business Ethics, LHKPN Reporting (Wealth Report of State Administrators), Employee Discipline, Gratification Control, and ISO implementation 37001:2016 Anti-Bribery Management System. In 2023, Telkom will received again ISO 37001:2016 certification for implementing SMAP in several work units.	4
7.3 Public company has a policy concerning the selection and capability improvement of suppliers and vendors	Telkom selects suppliers and vendors based on procurement policies that exist within Telkom internally which are managed through the SSO Procurement & Sourcing Center Unit which is carried out based on Regulation of the Director of Finance & Risk Management No. PR. 301.08//r.07/HK240/COP-K0700000/2023 regarding Guidelines for Procurement Implementation.	3
7.4 Public company has a policy concerning the fulfillment of creditors' rights	Telkom has a policy to fulfill the rights of our Creditors through the Financial Accounting Unit & Corporate Finance Unit that sets out and manages the rights of Telkom's creditors.	3
7.5 Public company has a policy of Whistleblowing System	Through the Resolution of the Board of Commissioners No. 01/KEP/DK/2022 regarding Policies and Procedures for Handling Complaints (Whistleblowing System) within the TelkomGroup which was later ratified by Directors Regulation No. PD. 622.00/r.00/HK200/COP-C0000000/2022 dated January 25, 2022, Telkom guarantees and ensures the protection of the confidentiality of reporters, both employees and third parties who submit complaints or reports of alleged violations. This Whistleblowing System develops complaint channels into 7 (seven) complaint channels, which can be accessed on the Telkom website in the Telkom Integrity Line menu.	4
7.6 Public company has a long-term incentive policy for the Board of Directors and employees	In determining the incentives obtained by the Board of Directors, Telkom is guided by Regulation of Minister of SOE No. PER 12/MBU/11/2020 regarding Guidelines for Determining the Income of the Board of Directors, Board of Commissioners, and Supervisory Board of State-Owned Enterprises and their amendments as well as Guidelines for the Implementation of Work (Charter) of Committee for Nomination and Remuneration. As for employees, this incentive is contained in the Collective Labor Agreement regarding Compensation and Benefits and Director of Human Capital Management Regulation No. PR 207.22/r.00/PS770/COP-J2000000/2016 regarding Awards and Recognition which explain the mechanism of giving rewards to employees in the form of stock option as well as an explanation of reward level, one of them at the advanced level are rewarded consistently and in the long-term financially.	3
E. Information Disclosure		
Principle 8: Improving the Implementation of Information Disclosure		
8.1 Public company takes benefits from the application of broader information technology, other than the website, as an information disclosure medium	Telkom also active in various social media as medium for information disclosure and product promotion. In addition, Telkom also use the mailing list system as medium for information disclosure and communication with Investor.	4
8.2 Annual Report of the public company discloses the beneficial owner in the share ownership of the public company of at least 5%	Telkom discloses the ultimate beneficial owner in the ownership of company shares with ownership of 5% or more in Telkom's Annual Report in the Composition of Shareholders section.	4

C.10 Comparable Analysis Tower and Fiber

Source: Team Estimate

Peers Data (Infrastructure)

Ticker	Company	Net Debt	EV/EBITDA			EV/Revenue			PBV			P/E		
			2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
TOWR IJ Equity	PT. Sarana Menara Nusantara. TBK	43.361	7x	6,76x	6,56x	5,82x	5,61x	5,42x	1,09x	1,01x	0,92x	8,09x	7,6x	7,28x
TBIG IJ Equity	Tower Bersama Infrastructure TE	29.274	12,66x	12,47x	12,3x	10,77x	10,55x	10,36x	4,03x	3,91x	4,02x	30,72x	28,15x	27,55x
CCI US Equity	Crown Castle Inc	387.527	22,5x	21,67x	20,75x	16,29x	15,97x	15,6x				88,11x	26,81x	24,94x
INDUSTOW IN Equity	Indus Tower LTD	30.581	6,87x	6,5x	6,16x	3,71x	3,5x	3,32x	2,89x	2,7x	2,51x	14,86x	13,6x	12,48x
OCK MK Equity	OCK Group BHD		4,61x	5,99x	5,62x	1,36x	1,74x	1,6x	,69x	,68x	,6x	10,13x	10,13x	9,42x
788 HK Equity	China Tower Corp LTD		4,18x	4,09x	3,98x	2,81x	2,72x	2,63x	,97x	,94x	,93x	17,33x	11,63x	9,96x

Summary	Net Debt	EV/EBITDA			EV/Revenue			PBV			P/E		
		2025F	2026F	2027x	2025F	2026F	2027x	2025F	2026F	2027F	2025F	2026F	2027F
Low		4,18x	4,09x	3,98x	1,36x	1,74x	1,60x	0,69x	0,68x	0,60x	8,09x	7,60x	7,28x
25th Percentile		5,175x	6,1175x	5,755x	3,035x	2,915x	2,8025x	0,97x	0,94x	0,92x	11,3125x	10,505x	9,555x
Mean		**9,64x**	**9,58x**	**9,23x**	**6,79x**	**6,68x**	**6,49x**	**1,93x**	**1,85x**	**1,8x**	**28,21x**	**16,32x**	**15,27x**
Median		6,935x	6,63x	6,36x	4,765x	4,555x	4,37x	1,09x	1,01x	0,93x	16,095x	12,615x	11,22x
75th Percentile		11,245x	11,0425x	10,865x	9,5325x	9,315x	9,125x	2,89x	2,7x	2,51x	27,3725x	23,5075x	21,825x
High		22,5x	21,67x	20,75x	16,29x	15,97x	15,6x	4,03x	3,91x	4,02x	88,11x	28,15x	27,55x

Notes: **All peers data presented from Bloomberg Terminal estimate**

Ticker	Company	Net Debt	EV/EBITDA			EV/Revenue			PBV			P/E		
			2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
INET IJ Equity	PT. Sinergi Inti Andalan Prima TBK		224,27x	18,76x	10,72x	37,02x	7x	4,14x	4,93x	4,5x	4,05x	422,42x	52,24x	31,34x
600487 CH Equity	Hentong Optic-electric co LTD		11,84x	10,32x	9,2x	1x	0,89x	0,8x	1,78x	1,61x	1,45x	17,39x	14,43x	12,75x
600498 CH Equity	Fiberhome Telecomunication Tchnology		21,27x	18,67x	16,47x	1,75x	1,69x	1,61x	2,32x	2,18x	2,05x	35,47x	30,46x	26,43x
SOTL In Equity				10,55x	7,74x									

Summary	Net Debt	EV/EBITDA			EV/Revenue			PBV			P/E		
		2025F	2026F	2027x	2025F	2026F	2027x	2025F	2026F	2027F	2025F	2026F	2027F
Low		11,84x	10,32x	7,74x	1,00x	0,89x	0,80x	1,78x	1,61x	1,45x	17,39x	14,43x	12,75x
25th Percentile		11,84x	10,3775x	8,835x	1x	0,89x	0,8x	1,78x	1,61x	1,45x	17,39x	14,43x	12,75x
Mean		**85,79x**	**14,58x**	**11,03x**	**13,26x**	**3,19x**	**2,18x**	**3,01x**	**2,76x**	**2,52x**	**158,43x**	**32,38x**	**23,51x**
Median		21,27x	14,61x	9,96x	1,75x	1,69x	1,61x	2,32x	2,18x	2,05x	35,47x	30,46x	26,43x
75th Percentile		224,27x	18,7375x	12,1575x	37,02x	7x	4,14x	4,93x	4,5x	4,05x	422,42x	52,24x	31,34x
High		224,27x	18,76x	16,47x	37,02x	7x	4,14x	4,93x	4,5x	4,05x	422,42x	52,24x	31,34x

C.11 Peers Package Comparable

Source: Team Estimate

TLKM

Provider	Package Name	Average Package Price		Average Price/GB		Average Price/GB/Day	
For The Periode		Jul-25	Aug-25	Jul-25	Aug-25	Jul-25	Aug-25
PaketInternet		66.667	66.667	8.814	8.814	293,8	293,8
ComboSakti		41.500	41.500	2.800	2.800	93,3	93,3
OMG!*		119.000		2.736	6.231	2.077 -	
KuotaKeluarga		225.000	225.000	4.529	4.529	151	151
SuperSeru		104.647	104.647	202	202	105,1	105,1
SuperSeru5G		168.750	168.750	868	868	310,4	310,4
SuperSeruCombo		36.875	36.875	5.643	5.643	828,9	828,9
SuperSeruInternet		36.875	36.875	4.029	4.029	503,4	503,4
SuperSeruSpesial**	-		30.250 -		2.277 -	-	
KetenganUtama		36.500	36.500	11.653	11.653	3.283,60	3.283,60
Ketengan		17.705	17.705	6.015	6.015	1.819,30	1.819,30
PaketHarian*		10.500	20.625	3.000	2.225	3.000,00	1.316,60
PaketMingguan**		51.200		3.046		435,1	
PaketBulanan**		126.429		4.816		1.629,00	
InternetHarian		47.000	47.000	3.778	2.440	2.133,90	1.259,30
InternetMingguan		40.500	40.500	11.596	4.350	625,9	435,1
InternetBulanan		132.143		5.216		1.739,00	
SebaLimaRibu		7.000	7.000	1.217	1.217	1.216,70	1.216,70
InternetSakti		97.000	97.000	1.684	1.684	56,1	56,1
ComboSpesial		24.000	24.000	3.750	4.050	383,9	343,9
VoucherInternet		38.818	38.818	4.838	4.838	661,9	661,9
PaketDataZoom		55.000	55.000	9.407	9.407	9.407,50	9.407,50
PaketIlmupedia		20.000	20.000	3.604	3.604	1.151,80	1.151,80
KuotaBelajar		16.438	16.438	1.316	1.316	368,6	368,6
Average		**66.067**	**56.558**	**4.546**	**4.200**	**1.403**	**1.242**

EXCL

Provider	Package Nam	Average Package Price		Average Price/GB		Average Price/GB/Day	
For The Periode		Jul-25	Aug-25	Jul-25	Aug-25	Jul-25	Aug-25
PaketAkrab		201.083	201.083	1.708	1.708	57	57
XtraCombo		153.700	153.700	3.408	3.408	114	114
XtraCombo		144.500	144.500	3.669	3.669	131	131
XtraCombo		76.714	76.714	2.645	2.645	94,5	95
XtraCombo		17.550	17.550	5.507	5.507	786,7	787
XLBebas		22.563	23.156	2.845	4.530	1.156,60	1.840
XtraKuota		5.050	5.050	2.525	2.525	3.650,00	3.650
AXISOwsem		65.160	65.160	1.640	1.640	58,6	58,6
OwsemKuotamu**	-		73.150 -		1.766 -		63,1
OwsemStream**	-		62.640 -		2.321 -		120,7
AXISBronet		22.700	22.700	3.531	3.531	818,3	818,3
AXISWarnet		3.125	3.125	1.454	1.454	6.081,60	6.081,60
Average		**71.215**	**70.711**	**2.893**	**2.892**	**1.295**	**1.151**

ISAT

Provider	Package Nam	Average Package Price		Average Price/GB		Average Price/GB/Day	
For The Periode		Jul-25	Aug-25	Jul-25	Aug-25	Jul-25	Aug-25
FreedomInternetBulanan		128.333	128.333	1.963	1.963	70,1	69
FreedomInternetHarian		15.667	15.667	3.243	3.243	1.321,90	1.322
FreedomInternet90-360Hari		516.667	516.667	2.292	2.292	15	15
FreedomInternet5G**	-		70.500		1.817 -		181,6
FreedomInternetSpesial***		95.667	95.667	1.492	1.492	49,7	50
FreedomCombo		68.750	68.750	4.758	4.758	158,6	158,6
FreedomU		86.400	86.400	4.759	4.759	158,6	158,6
Average		**151.914**	**140.283**	**3.085**	**2.903**	**296**	**279**

TRI

Provider	Package Nam	Average Package Price		Average Price/GB		Average Price/GB/Day	
For The Periode		Jul-25	Aug-25	Jul-25	Aug-25	Jul-25	Aug-25
Unlimited		3.750	3.750 -	2.736	1.148,50	1.148,50	
HappyHarian		16.111	16.111	2.736	2.736	1.148,50	1.148,50
HappyBulanan		77.222	77.778	2.389	2.637	84,2	89,8
Happy5G	-		66.429 -		1.649 -		382,6
HappySpesial		287.400	287.400	1.191	1.191	33,7	33,7
Happy(60-365		333.333	333.333	2.000	2.000	16,6	16,6
AlwaysOn		49.500	52.500	4.917	5.083	13,5	13,9
Home		218.750	218.750	2.042	2.042	122,8	122,8
Average		**140.867**	**132.006**	**2.546**	**2.509**	**367**	**370**

SMARTFREN

Provider	Package Nam	Average Package Price		Average Price/GB		Average Price/GB/Day	
For The Periode		Jul-25	Aug-25	Jul-25	Aug-25	Jul-25	Aug-25
Harian		65.583	65.583	3.552	3.552	1.627,40	1.627,40
Nonstop		66.143	66.143	2.980	2.980	190,6	190,6
DataKuota		125.036	125.036	1.635	1.635	136	136
Average		**85.587**	**85.587**	**2.722**	**2.722**	**651**	**651**

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